Uganda
Securities Exchange



ANNUAL REPORT 2019

USE



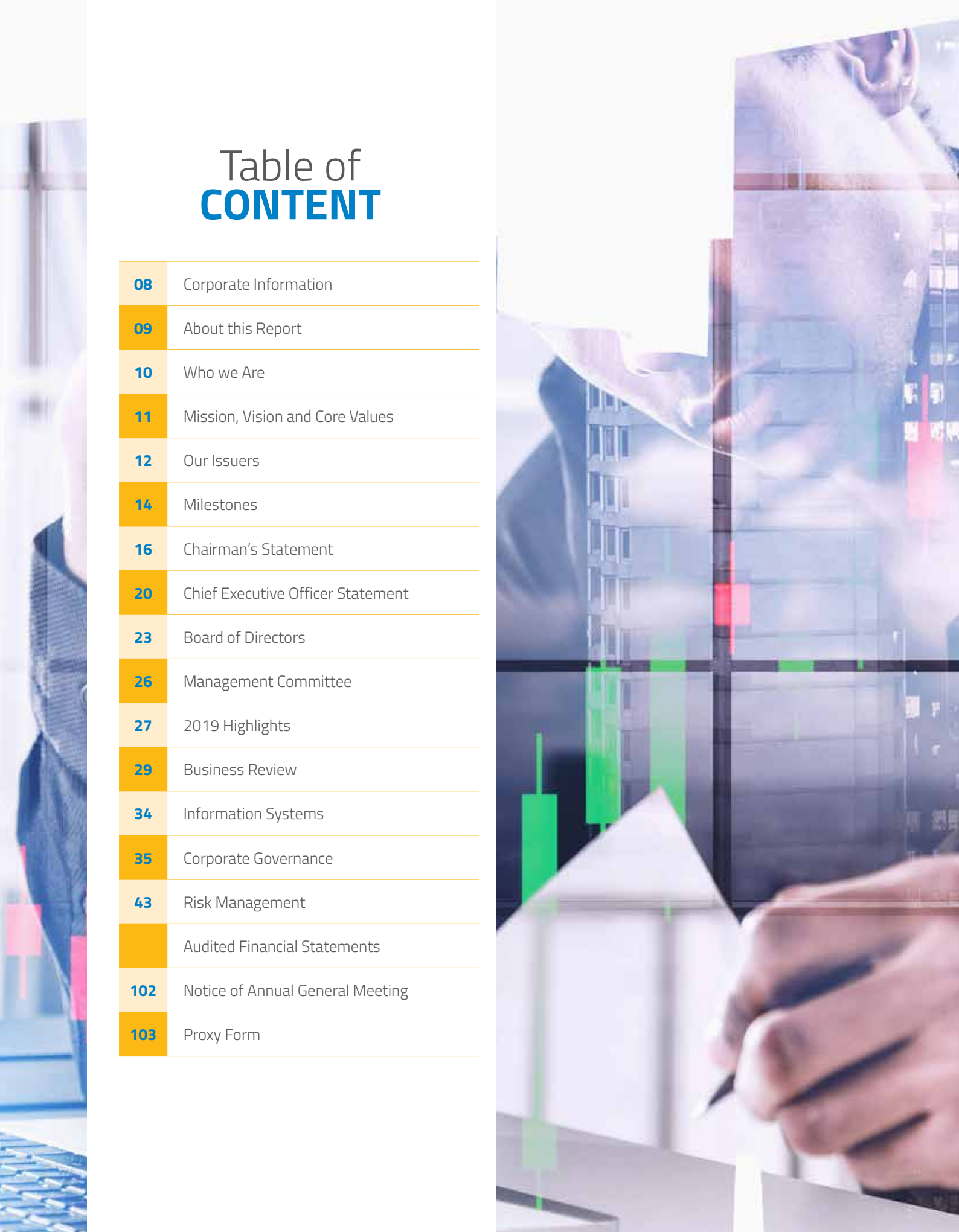
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Uganda Securities Exchange

INVESTING
Made Easy, Fast and Convenient

NEW INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** / and click "create an account"

Step 2: Enter your details and sign up.

Step 3: Check your email for the activation token and click on the link to activate your account.

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD account"

Step 6: Click on "Open a new account"

Step 7: Fill in the details and then click on open account.

Step 8: Application Submitted to broker for approval.

For any inquiries, please do not hesitate to contact us at **depository@use.or.ug.**

EXISTING INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** and click "create an account"

Step 2: Enter your details and sign up

Step 3: Check your email for the activation token and click on the link to activate your account

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD Account"

Step 6: Click "I have an account"

Step 7: Enter your SCD account number and email address

Step 8: Click link

Step 9: If the details match, you will receive a pop up stating **"Successfully linked! Redirecting you to your portfolio now"**

UGANDA SECURITIES EXCHANGE
UAP Nakawa Business Park, Block A, 4th Floor
Plot 3 - 5 New Port Bell Road. P. O. Box 23552 Kampala, Uganda.
T: +256 (3123708) 15/17/18. **E:** info@use.or.ug. **W:** www.use.or.ug

INSPIRING GROWTH.

ACRONYMS

ARC	Audit and Risk Committee
ATS	Automated Trading System
CDSC	Central Depository & Settlement Corporation
CEO	Chief Executive Officer
CMA	Capital Markets Authority
EAC	East African Community
EABL	East African Breweries Ltd
EADB	East African Development Bank
EBL	Equity Group Holdings Ltd
ETFs	Exchange Traded Funds
IPO	Initial Public Offer
IS	Information Systems
IT	Information Technology
KCB	Kenya Commercial Bank Group
MEMARTS	Memorandum and Articles of Association
NED	Non-Executive Directors
SCD	Securities Central Depository
SWIFT	Society for Worldwide Interbank Financial Telecommunications
UN	United Nations
USE	Uganda Securities Exchange
UTL	Uganda Telecom Limited



BECOME AN INVESTOR

Baroda Capital Markets (Uganda) Ltd.

Plot 18 Kampala Road
P. O. Box 7197, Kampala, Uganda
Tel: 0414- 237898 Fax: 0414 258 263
Email: bcm.ug@bankofbatoda.com

CRESTEDCAPITAL
a trade name of Crested Stocks & Securities Ltd. | MEMBERS OF THE UGANDA SECURITIES EXCHANGE

Crested Capital First Floor, Impala House
Plot 13/15 Kimathi Avenue
P.O.Box 31736, Kampala, Uganda
TEL: 0312-230900/0758-230900
FAX: 0414-230900
EMAIL: info@crestedcapital.com

DYER & BLAIR
UGANDA LIMITED
WE KNOW. YOU KNOW.

Ground Floor, Rwenzori House
Plot 1 Lumumba Avenue
P. O. Box 36620, Kampala, Uganda
Tel: 0414 233 050 or 0312 265 469
Email: uganda@dyerandblair.com

Uganda
Securities Exchange

EQUITY STOCK BROKERS
service • tradition • trust

Orient Plaza, Plot 6/6A, Kampala Road
P.O.Box 7539, Kampala, Uganda
TEL: 0417-719144/0417-719133
EMAIL: equity@orient-bank.com

sbg securities
A member of Standard Bank Group

4th Floor, Crested Towers (Short)
17 Hannington Road
P.O BOX 7131, Kampala, Uganda
Tel: 0312 224 972 or 0312 224 965
Email: csfs_uganda@mail.standardbank.com

UAP OLDMUTUAL

2nd Floor UAP Nakawa Business Park
Block A Second Floor
Plot 3-5 New Port Bell Road
P. O. BOX 20079 Kampala-Uganda
TEL: 0414332824. FAX: 0414-346449
EMAIL: brokerageufs@uap-group.com

For more information, Contact
Uganda Securities Exchange
Plot 3-5 New Port Bell Road
UAP Nakawa Business Park, Block A, 4th Floor
Tel: 0312- 370 815/370817/ 370818
Email: info@use.or.ug|www.use.or.ug

Corporate INFORMATION

COMPANY SECRETARY

Ms. Prossy Nambatya (Out- going)
C/o Uganda Securities Exchange Ltd
4th Floor ,Block A Nakawa Business Park
Plot 3-5 PortBell Road Nakawa, Kampala

Ms. Alison Kwikiriza Serucaca (Effective April 2019)
C/o Uganda Securities Exchange Ltd
4th Floor ,Block A Nakawa Business Park
Plot 3-5 PortBell Road Nakawa, Kampala

REGISTERED ADDRESS OF COMPANY

Uganda Securities Exchange Limited
4th Floor , Block A Nakawa Business Park
Plot 3-5 PortBell Road Nakawa, Kampala

AUDITORS

KPMG Uganda Certified Public Accountants (Uganda)
3rd Floor Rwenzori Courts Building
P. O. Box 3509, Kampala

LAWYERS

Engoru Mutebi Advoctes
Ground Floor Rwenzori House
Plot 1 Lumumba Avenue
P. O. Box 22510, Kampala

Sebalu & Lule Advocates and Legal Consultants
S&L Chambers,
Plot 14, MacKinnon Road, Kampala
P. O. Box 2255 Kampala

BANKERS

CitiBank Uganda Ltd
Plot 4 Ternan Avenue
P. O. Box 7505, Kampala

TAX CONSULTANTS

Deloitte Uganda Ltd
3rd Floor Rwenzori House
Plot 1 Lumumba Avenue
P. O. Box 10314 Kampala



About this REPORT

Uganda Securities Exchange

2019

This is the Uganda Securities Exchange Limited Annual Report covering the 12 months period from 1st January 2019 to 31st December 2019.

The report provides a comprehensive view of the operations and financial status of the Exchange during this period. This is aimed at providing information to the company's stakeholders on the value created by the USE.





Who we ARE

www.use.or.ug

The Uganda Securities Exchange (USE) was licensed to operate as an approved Stock Exchange in June 1997 by the Capital Markets Authority (CMA) of Uganda under the Capital Markets (licensing) Regulations 1996. USE began formal trading operations in January 1998 and is governed by the Uganda Securities Exchange Limited Rules 2003 (as Amended).

It is registered as a public limited liability company and approved by the CMA to run as a demutualised Exchange under the laws of Uganda.

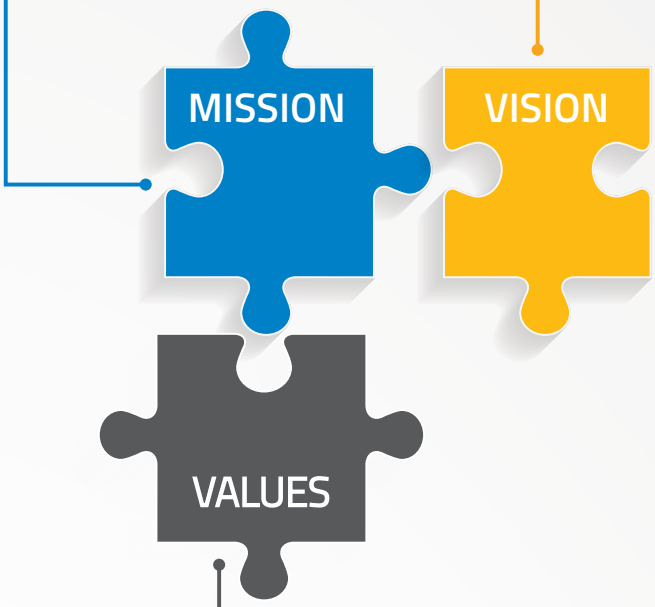
We provide a well-organized, transparent, and regulated platform to bring together seekers of capital (companies looking to raise finances) and providers of capital (investors). We continue to leverage technology to support innovation and ease access to the market for both issuers and investors.

We boast of a diverse clientele that is comprised of retail and institutional investors, issuers, government and data clients.

SCD Registrars is established as a wholly owned subsidiary of the Uganda Securities Exchange. The subsidiary's core mandate is to provide centralized depository, clearing and settlement services for the Ugandan Equity and Debt markets. It also offers share registry services.

OUR MISSION

We are committed to empower our customers through service excellence and innovation in order to promote safe, convenient and sustainable investments.



OUR VISION

To be Uganda's preferred institution for investments and sourcing of capital.

OUR CORE VALUES

- Customer Focus
- Efficiency
- Innovation
- Integrity
- Teamwork



Our ISSUERS


CiplaQCi


dfcu
...with pleasure


nic
Holdings Ltd


VISION GROUP
NATIONAL PRIDE • GLOBAL EXCELLENCE


Stanbic Bank

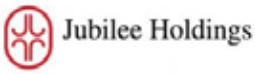

UMEME
Powering Uganda


BAT
UGANDA


Uganda Clays Ltd


Bank of Baroda


eabl
Celebrating Life


Jubilee Holdings


Kenya Airways
The Pride of Africa


UCHUMI
home of value!


CENTUM
tangible wealth


Nation Media Group
Media of Africa for Africa


KCB


EQUITY
Bank • Your Listening, Caring Partner


KAKIRA SUGAR


BANQUE AFRICAINE DE DÉVELOPPEMENT
AFRICAN DEVELOPMENT BANK



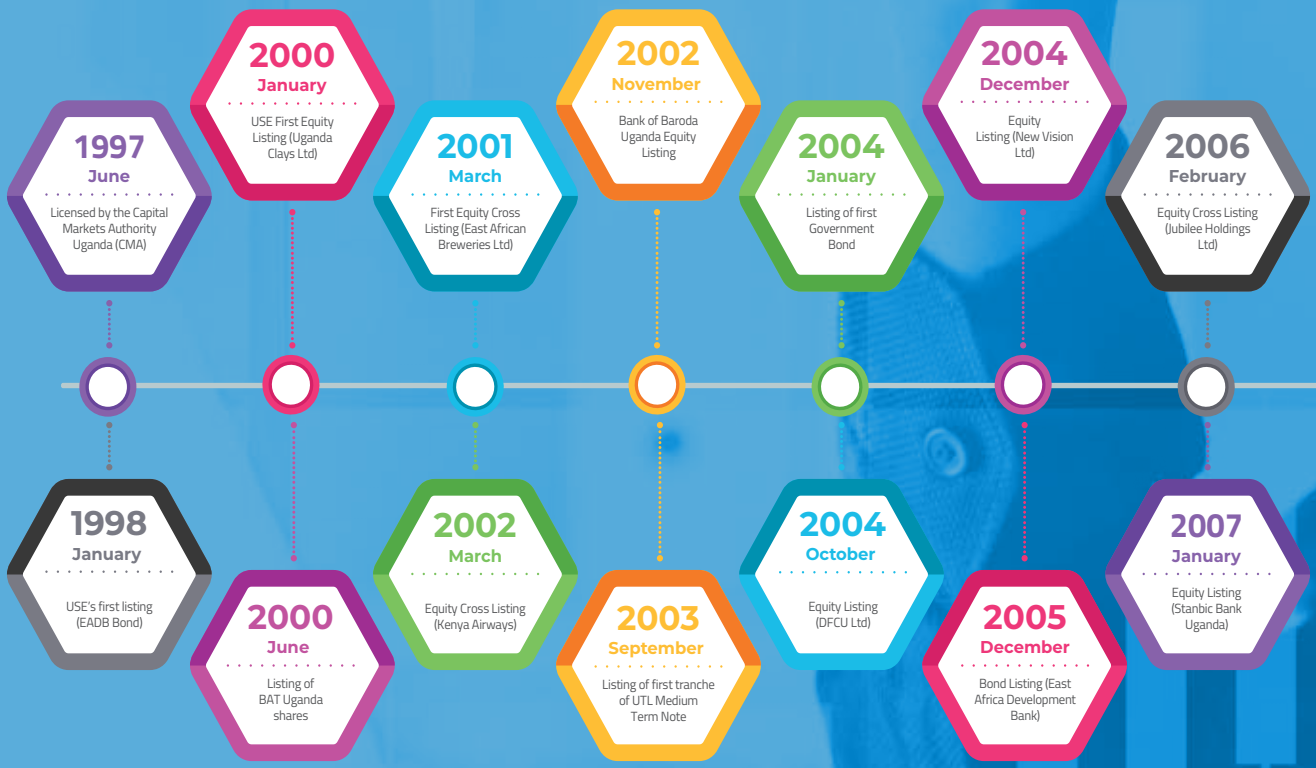
Creating Generational Wealth

Visit us on

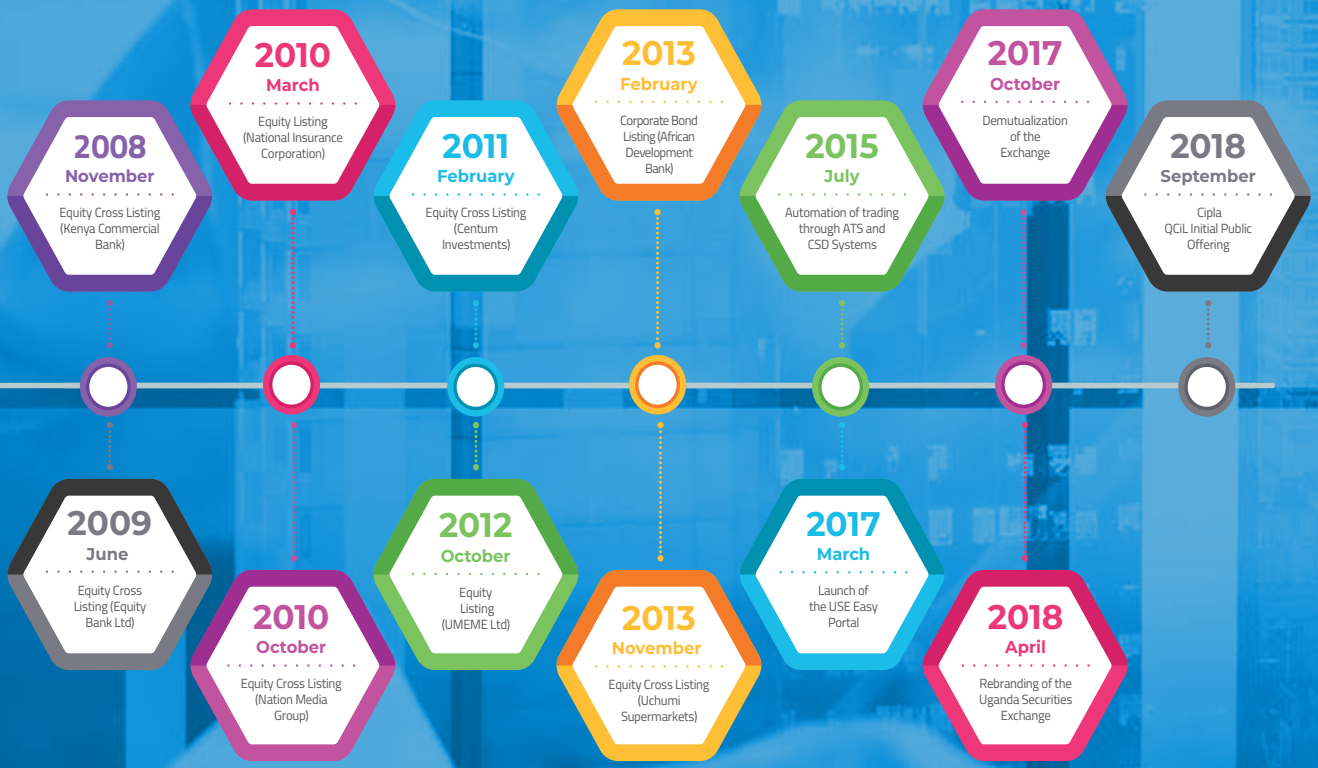
www.use.or.ug

Uganda
Securities Exchange

INSPIRING GROWTH.



INSPIRING GROWTH.


2008
November
Equity Cross Listing (Kenya Commercial Bank)
2009
June
Equity Cross Listing (Equity Bank Ltd)
2010
March
Equity Listing (National Insurance Corporation)
2010
October
Equity Cross Listing (Nation Media Group)
2011
February
Equity Cross Listing (Centum Investments)
2012
October
Equity Listing (UMEME Ltd)
2013
February
Corporate Bond Listing (African Development Bank)
2013
November
Equity Cross Listing (Uchumi Supermarkets)
2015
July
Automation of trading through ATS and CSD Systems
2017
March
Launch of the USE Easy Portal
2017
October
Demutualization of the Exchange
2018
April
Rebranding of the Uganda Securities Exchange
2018
September
Cipla QCiL Initial Public Offering

Chairman's **STATEMENT**

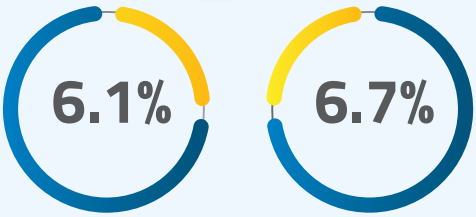


USE Board Chairman
Mr. Charles Mbire

Dear Shareholders,
On behalf of our Board of Directors, it gives me great pleasure to share key highlights of the Uganda Securities Exchange for the year 2019.

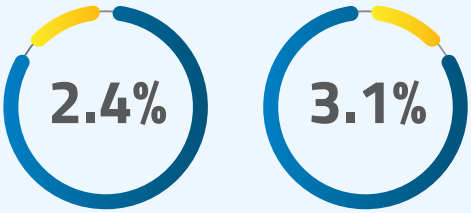
Covid- 19 Impact
Presently countries and businesses across the globe are faced with the unprecedented times from the novel corona virus. The Covid-19 pandemic has affected several sectors including the securities industry where markets worldwide have been impacted, experiencing volatility to varying degrees as both the spread and impact of the virus continue to evolve daily.

It is heartening to note that in these difficult times, USE has been able to showcase its business continuity capabilities, keeping markets operational through the COVID-19 crisis and ensuring delivery of efficient and functional services to market players and investors albeit the notable deceleration in trading activity. We continue to pray for good health of our investors and global citizenry in general as we play our part as a responsible corporate citizen in ensuring that the necessary covid-19 preventative measures as advised by the Ministry of Health and the World Health Organisation are fully implemented by the business in the work environment we provide for the employees of the Exchange and in our interactions with market participants, and all our external stakeholders and business partners.



Uganda's economy grew by an average of 6.7% in 2019 compared to an average of 6.1% in 2018

Global growth slowed to 2.4% in 2019 compared to 3.1% registered in 2018



2019 Operating Environment and Business Performance

Looking back at the past year, the country witnessed notable growth in the Agricultural sector driven by improved weather conditions witnessed during the year. Uganda's economy grew by an average of 6.7% in 2019 compared to an average of 6.1% in 2018. Bank of Uganda maintained an accommodative monetary policy stance with the Central Bank Rate reduced to 9% in view of the low inflation environment witnessed in 2019 where Annual Core inflation averaged 3.9% against Bank of Uganda's (BOU) target of 5%.

The Uganda Shilling appreciated against the US Dollar by 1% to close the year at 3,677. The improved local currency position was supported by increased export earnings and improved foreign currency inflows from portfolio investors mainly purchasing government securities.

Overall, Interest rates remained stable last year driven by the Central Banks' accommodative monetary policy during the period coupled with sustained demand for interest earning securities.

According to the World Bank, global growth slowed to 2.4% in 2019 compared to 3.1% registered in 2018. Increased uncertainty resulting from trade tensions between the USA and China coupled with slower global economic growth resulted in capital outflows from the risky equity asset class to safer fixed income assets. As a result, prices of local companies' stocks dropped during the 12 months to December 2019 despite improved economic growth registered for Uganda's economy

With the above context in mind, we are pleased to note the business' growth despite the slowdown in global growth. We were able to register an improved performance in our earnings with 92% growth in our total comprehensive income and profit after tax in our 3rd year operating as a demutualised entity. This was achieved while ensuring we optimally managed our operational costs which reduced by 10.5% from 2018. Further details highlighting important performance metrics of 2019 are contained in the Chief Executive's review for the year.

A key strategy in ensuring business sustainability is the diversification of the business' revenue streams – this is visibly demonstrated by a 561% increment in revenue from our data vending and registry services which were introduced in 2018.

We expect to continue to drive a sturdy growth of the business as we aim to strengthen our position as Uganda's principal stock exchange and to generate sustainable and long term value for our shareholders, market participants, and our investor community.

Regulatory Landscape

A major development for the industry has been the implementation of new regulatory reforms in the Telecommunications sector following the unveiling of Uganda's National Broadband policy in 2018 .This year the Ministry of Information and Communications Technology and National Guidance ("MICT") released a set of regulations providing for a new licensing framework for telecommunications operators . A key highlight for the industry under this new licensing regime is the requirement for local telecoms to list at least 20% of their stock on the Uganda Securities Exchange. The Exchange has put in place measures



USE Board of Directors

to ensure well-functioning technological capacity and internal operational efficiencies that will allow the market tap into this opportunity.

Governance

From a governance perspective, the Board during the year focused on ensuring the alignment of its composition to the governance structure prescribed under the Memorandum and Articles of Association of the new demutualised entity. These governance-related changes which were implemented during the year following the lapse of the tenure of the transitional Board appointed to lead the company through the demutualisation process are detailed in the Corporate Governance Statement. I would like to take this opportunity to thank the transitional board whose insightful leadership facilitated the successful completion of the demutualisation process through which the Exchange is better positioned to create even greater value for our market and its various stakeholders.

2020 Outlook

Over the past three years, we have to a large extent been able to enhance our internal operational efficiency and invested in building our human capital and technological competencies in order to deliver a first-rate service in securities market activities for our Issuers, our stockbrokers and our investors. As we reposition ourselves to benefit from the opportunities that lie ahead in the coming year, we are confident in our new strategic direction which is centred around customer -driven innovation as a fundamental key to unlocking the markets' potential and ultimately propelling exponential growth of the Exchange .

Appreciation:

In the course of 2019, African Alliance Uganda Ltd announced that they would cease the provision of stock brokerage services. I would like to appreciate the company for the role they played in the growth of the Exchange. I also thank Mr. Kenneth Kitariko for his dedicated service and Commitment to the Exchange when he sat on the Board.

I would like to express my sincere gratitude to all Board members for their continued dedication and commitment to providing valuable guidance to the Company. On behalf of the Board, I also wish to express my appreciation to all our shareholders, Issuers, the primary market regulator the Capital Markets' Authority, market participants and all our stakeholders for the continued partnership and support. We recognise that it is through these partnerships that the Exchange can make a meaningful contribution to the growth and development of the Uganda capital markets sector. Last but not the least, I would like to extend my sincere appreciation to the employees for their continued hard work and dedication which has seen the Exchange grow over the years.

SECURITIES TRADING TRAINING

An introductory course to basics on investing on Uganda Securities Exchange



Learn about:

1. Capital markets and stock exchange
2. Shares and Bonds
3. Listing shares on the exchange
4. Trading of securities on the Uganda Securities Exchange
5. Rules and regulations

REGISTER HERE
training@use.or.ug

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Uganda Securities Exchange

INSPIRING GROWTH.

Chief Executive Officer **STATEMENT**



I am delighted to present key performance highlights of the Uganda Securities Exchange for the year 2019.

During the year we were able to make significant progress amidst a challenging market environment characterised by global uncertainties resulting from trade tensions between US and China.

Adapting to the 'new normal'

As I write this review of 2019, the impact of the COVID-19 pandemic which hit hard at a global scale since the latter end of the first quarter of the year continues to run rife, affecting various businesses across different sectors. The pandemic has led to a significant slowdown in economic activity across the globe. According to the International Monetary Fund (IMF), global growth is projected at -4.9 percent in 2020. The Economic impact from the pandemic has raised the market risk aversion that was previously witnessed in the Global Financial Crisis in 2007/2008. The Uganda Securities Exchange (USE) has focused on maintaining efficiency in market operations during this period. We are accelerating our efforts to enhance our product offering to provide solutions to large businesses, SMEs, and government to raise capital to sustain the execution of their long-term business plans especially as they plan for post COVID-19 recovery.

We have adjusted our working model to support continued interaction and services with our stakeholders and business partners online via tele and video conference and other internet enabled facilities while ensuring the safety of our employees who are fully enabled to work remotely from home. The market has remained open for trading throughout the period within the usual hours with minimal disruption and seamless settlement. Overall, we have ensured we exercise our supervisory mandate aimed at safeguarding market interests and ensuring a well-functioning and regulated market.

In collaboration with the Capital Markets Authority (CMA), we were able to develop guidelines to accommodate convening of virtual Annual General Meetings that still guaranteed shareholders' rights in access to information and participation to the same degree as they would have in a physical setting.

Market Performance

Market indices were a mixed bag with the USE All Share Index, which includes Cross Listed stocks advancing by 10.3% driven by price increments on the blue-chip cross listed stocks in contrast to 2018 where this index fell by 16.6%. On the other hand, the USE Local Share Index which tracks price performance of the local listed stocks dropped by 12.6% in 2019 compared to a 4.9% increase registered in 2018, due to a decline in prices across all the local listed companies. Notable was a decline in the UMEME share price which fell by 27.2% during the year as investors reacted to uncertainties surrounding the discussions on the company's concession renewal.

Trading activity in the equities markets significantly improved in 2019 with turnover increasing more than two-fold to Ugx 127 Billion compared to 2018. The increased turnover was largely driven by movements on the DFCU Counter where major shareholder CDC Group PLC divested its stake to Investment Fund for Developing Countries (IFU), a Development Finance Institution owned by the Danish Government. There was no activity registered on the listed Corporate bonds during the year.

During the year, 2,601 SCD accounts were opened which was a 38% decline in number of Securities Central Depository (SCD) accounts opened in prior year. The rise in the number of accounts in 2018 was due to the Cipla Quality Chemicals Ltd Initial Public Offer (IPO). Local investors accounted for 78% of SCD Accounts opened during the year while East African and Foreign investors accounted for 13% and 8%, respectively. Market participation was dominated by Foreign companies who accounted for 79% of the annual traded turnover.

We moved closer to achieving our goal of operating a fully dematerialized market with 312 certificates immobilized in 2019 corresponding to 48.1 million shares.

Market Intermediaries:

The Stockbrokers and SCD Agents played a vital role in execution of our promise to investors to provide access to safe, convenient, and sustainable investments.

Total Assets

2019

25.4%

In April 2019, African Alliance announced that it would not renew its Stockbroker license with CMA Uganda and therefore ceased to offer Stock Brokerage services. As a result, the Company ceased being a trading participant of The Exchange and agent of the Securities Central Depository (SCD). African Alliance Uganda Limited elected UAP Old Mutual Financial Services Ltd, a licensed stockbroker to take on their clients who had not appointed a preferred broker by May 2019.

We would like to thank African Alliance Uganda Ltd for being an active and compliant licensed stockbroker for over 15 years and recognise its contribution to the growth of the market. The Exchange is committed to efficiently facilitating investment transactions, timely reporting, clearing and settlement of trades, market surveillance and regulation.

2019 Business Performance

The Exchange registered an improved performance in 2019 with an increase of Profit After Tax by 92% from Ugx 126.9 Million in 2018 to Ugx 243.8 million. Gross income increased from Ugx 2.9 Billion in 2018 to Ugx 2.97 Billion in 2019, representing a marginal year-on-year increase of 2.1%.

Revenue from brokerage Commissions increased to Ugx 299.96 Million in 2019 showing the increased turnover during the period. SCD Income increased by 75% to Ugx 319.2 Million during the period under review compared to Ugx 182.7 Million in 2018. Other income which includes Registry Services and Data vending rose to Ugx 147.6 Million in 2019 from Ugx 22.3 Million in 2018.

Total Assets grew by 25.4% from Ugx 6.3 Billion in 2018 to Ugx 7.9 Billion. The Exchange's 2019 financial performance was a result of improved operational efficiency and a prudent expense management approach with operating costs dropping by 10.5% during the year.

Reviewing our priority areas

Key initiatives that we set for ourselves in our business strategy running from 2016 -2020 were centred around improving customer experience, achieving operational excellence and Empowerment of our customers through increased wealth.



Chief Executive Officer
Mr. Paul Bwiso

Improving customer experience

Some of the main initiatives under this revolved around improvement of service delivery and internal controls. Some of the activities undertaken to achieve this objective included public and stake holder awareness through organising facts behind figures that provided greater insights in the performance and operations of local listed companies.

Operational efficiency

A key desired outcome under this priority area was enhanced quality of Service delivery. During the strategic period we have been able to enhance the use of technology in our operations including cloud migration and introduction of an online platform to serve retail clients (USE Easy Portal). We also undertook internal reorganisation to ensure better cascading of the new strategy to staff for improved execution.

Empowerment of our customers

Financial Literacy was a critical focus for this initiative. This was executed through the USE University Challenge which promotes financial literacy among the youth. The challenge provides an online practical and fun way of understanding how to manage a virtual portfolio of funds through trading in virtual shares and bonds listed on the USE. The Exchange also held a Sports Gala between market stakeholders to promote interpersonal relationships.

Our 2020 Focus:

Following the change in business structure, Management has reviewed the business' strategic focus areas based on the analysis of the current business environment, the diverse needs of our clients within the context of raising capital for growing their businesses and our new identity as a demutualised entity. Through this review we have been able to identify areas of focus which are anchored on three key strategic themes:

i) Innovation around the customer
ii) Business Growth
iii) A customer centric platform

Our strategic intent is focused on continuously challenging ourselves to understand the needs of our key customers as a key guide in the development and enhancement of our products and services. As a desired outcome of this approach ,we look to position the Exchange as the easiest place to raise capital for a Ugandan business. Additionally, guided by our new strategic focus we shall aggressively innovate primarily through leveraging the use of technology to create user friendly platforms that seamlessly enable seekers of capital to meet providers of capital and transact in a frictionless manner. We aim to deliver this unique market efficiency as a key value -add for all market participants and the investor community as we continue to increase our accessibility to various stakeholders to further grow the business. We shall continue to strengthen our diversification agenda as part of our sustainable business growth strategy .To this end we shall seek to enhance our data and registry services through incorporation of additional value-adding facets that resonate with the target customer 's needs. We recognise that our people are key facilitators in delivering the desired outcome under our strategic focus areas, as such, the business has purposed to invest in capacity building and upskilling of our human capital with the aim of achieving agile and purposeful people operations. Last but by no means least, we shall continue to rely on technology as a key enabler towards achieving the envisioned efficiencies and innovations.

Appreciation:

I would like to express my sincere gratitude to all our stakeholders - Board of Directors, fellow colleagues, clients, regulators and trading participants for the support provided to us which was instrumental in enabling us achieve the growth seen in 2019.



USE oversees seamless client handover from African Alliance to UAP Old Mutual Financial Services Ltd

Board of **DIRECTORS**



Mr. Charles Mbire
Chairman,
Independent Non Executive



Mr. Paul Bwiso
Chief Executive Officer
Executive Director



Mr. Robert Baldwin
Outgoing member of
Transitional Board
Non- Executive



Mr .Richard Byarugaba
Issuer representative
Non- Executive



Mr. Dickson Musoni
Trading Participant representative
Non- Executive



Mr. Simon Mwebaze
Trading Participant representative
Non-Executive



Ms. Cynthia Mbaru
Outgoing member of Transitional Board
Non- Executive



Mr. Goyal Radhesham
Outgoing member of Transitional Board
Non- Executive



Mr. Samuel Mwogeza
Issuer representative
(Effective Sept 2019)
Non-Executive



Ms Jennifer Mwijukye
(Effective Sept 2019)
Independent Non Executive



Dr. Rachel Mindra Katoorogo
Effective Sept 2019
Independent Non Executive

Management COMMITTEE



Mr. Paul Bwiso
Chief Executive Officer



Mr. Andrew Mwima
Manager, Trading and Research



Ms. Alison Kwikiriza - Serucaca
Manager, Legal & Compliance



Mr. Bob M. Musinguzi
Manager, Securities Central Depository



Mr. Ongom D. Dennis
Information Systems Manager



Mr. Charles Monda
Management Accountant

2019 HIGHLIGHTS

1 USE RINGS THE BELL FOR GENDER EQUALITY



In Celebration of International Women's Day on 8th March 2019, the Uganda Securities Exchange (USE) joined over 70 stock exchanges around the world in ringing the bell for Gender Equality. The initiative is a partnership between IFC, Sustainable Stock Exchanges (SSE) Initiative, UN Global Compact, UN Women, the World Federation of Exchanges, and Women in ETFs. The events are aimed at raising awareness about the business case for women's economic empowerment and the opportunities for the private sector to advance gender equality and sustainable development. The theme of the event was "Think equal, build smart and innovate for change." The Uganda Securities Exchange (USE) remains committed to advancing gender equality through promotion of gender equality in our workforce and supporting gender equality themed investment products.

2 USE UNIVERSITY CHALLENGE 2019



The Exchange held the third edition of the USE University Challenge in 2019. The event aims at nurturing trading and investments among university students. The students were required to create and manage a portfolio of virtual shares and bonds worth Ugx 100 Million. The event was sponsored by Stanbic Holdings Uganda Ltd, Umeme Ltd, NIC Holdings Ltd and Uganda Clays Ltd. Participating universities increased to 44 in the third edition compared to 4 universities in 2018.

3 EAST AFRICAN CAPITAL MARKETS DAY 2019



The Exchange was part of the inaugural East African Capital Markets Day organized by the East African Securities Exchange Association (EASEA) under the theme of 'Showcasing East Africa's Economic Vibrancy and the Capital Market's place within the region." The Event took place in Kigali, Rwanda. The USE was represented by the CEO, Mr. Paul Bwiso who sat on the 5th plenary session. The session discussed ways to leverage on home grown solutions such as customized products and technology.

4 ANNUAL ISSUERS FORUM 2019



The USE held the Annual Issuers Forum under the theme 'Redefining the Issuer's Role in the journey towards a vibrant capital market.' The keynote speaker, the permanent secretary and secretary to the treasury represented by Mr. Moses Kaggwa (Director Economic Affairs -Ministry of Finance and Economic Planning) underscored the need for integrated regional approaches towards financial education and awareness of the activities of the capital markets

5 FIRE AWARDS 2019



The USE is a parther of the ICPAU for the Annual Financial Reporting (FiRe) Awards. The awards aim at enhancing the quality of financial and business reporting in Uganda by encouraging the implementation of financial reporting standards as well as other best practices in reporting. The awards were run under the theme: 'Integrated Reporting: Redefining Organisational Success.'


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Business REVIEW

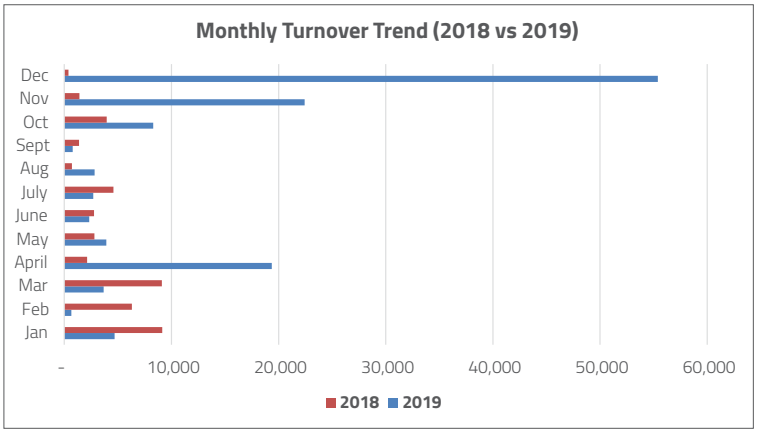
1) PRODUCTS AND MARKETS:

Market Activity:
Market activity surged in 2019 with turnover rising to Ugx 127 Billion, compared to Ugx 44.7 Billion registered in 2018. This activity was purely on the Equity market segment.

Equity Market Segment:
There was no listing registered on the primary market in 2019. Secondary market activity increased by 128 percent to Ugx 127Bln in 2019 from Ugx 44.7 Billion registered in 2018. A total of 1.8 billion shares were exchanged during the year, up from 589 million shares traded in 2018. However, the number of deals registered declined from 6,072 in 2018 to 5,317 deals in 2019.

Trading activity was dominated by DFCU, SBU and UMEME counters which contributed 39.3 percent, 33.2 percent, and 24.2 percent of the annual turnover, respectively. Centum Investments was the only cross listed counter that registered activity during the period accounting for 0.02 percent of the annual market turnover. Most of the activity was registered in Q4 2019. The month of December registered the highest turnover of Ugx 55.4 Billion because of the CDC exit in DFCU Limited.

Figure 1: Monthly Turnover Trend (2018 - 2019)



Source: USE Trading Department

Table 1: Equities Trading by Quarter (2019)

	Q1 2019	Q2 2019	Q3 2019	Q4 2019	Total
Volume	76,421,282	480,653,617	178,832,137	1,105,242,175	1,841,149,211
Turnover	9,004,320,603	25,609,717,774	6,305,972,674	86,103,729,059	127,023,740,110
Daily Avg T/O	428,914,074	1,275,526,169	283,002,722	4,214,119,649	6,201,562,614
Trades	1,173	1,359	1,382	1,403	5,317
Daily Avg Trades	57	69	63	68	257
Trading Days	62	60	66	63	251

Source: USE Trading Department

Table 2: Equities Trading Turnover by listed Issuer (2019):

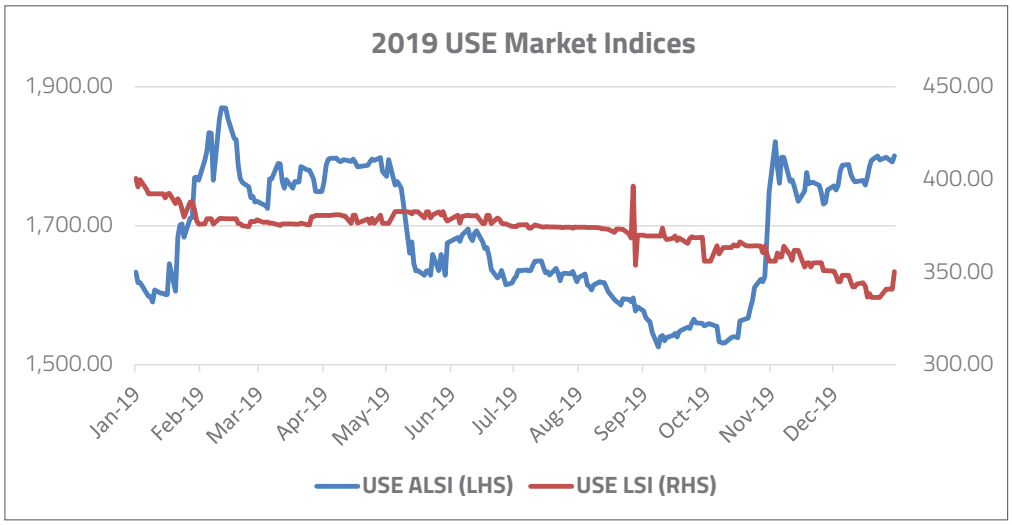
	Deals	Volume	% Volumes	Turnover (Ugx)	% Turnover
BOBU	433	29,400,617	1.6%	3,596,628,229	2.8%
CENT	11	21,584	0.0%	25,993,719	0.0%
CQCIL	416	1,842,513	0.1%	321,371,733	0.3%
DFCU	203	76,632,913	4.2%	49,884,046,766	39.3%
NIC	115	1,268,882	0.1%	16,878,603	0.0%
NVL	44	35,413	0.0%	11,411,302	0.0%
SBU	2,258	1,595,638,169	86.7%	42,123,972,433	33.2%
UCL	334	24,181,764	1.3%	326,923,626	0.3%
UMEM	1,503	112,127,356	6.1%	30,716,513,699	24.2%
Totals	**5,317**	**1,841,149,211**		**127,023,740,110**	

Source: USE Trading Department

Price Index Movement:

The USE All Share Index (ALSI) (includes cross listed stocks) which opened at 1,649.39 at the beginning of the year dropped to 1,614.82 in June before closing at 1,559.53 at the end of the September, it then rose to 1,688.22 in October and closed at 1,800.72 in December 2019. This represents an overall annual increase of 9.17 percent. The USE Local Share Index (LSI) opened at 400.6 at the beginning of January, dropped to 375.97 at the end of June dropped further to 368.72 at the end of September, and further to 356.35 in October before closing at 350.25. This is an overall decrease of 12.57% for the year. The decline in the USE LSI was due to a reduction in share prices of most local listed counters. On the other hand, the gains on the USE ALSI during the period saw the market capitalization move from; 23.24 trillion in January to 22.66 trillion in June and 21.74 trillion in September closing at 24.99 trillion. The total market capitalization was up 9.17 percent largely driven by a rebound in share prices of KCB, EBL, EABL and other cross listed counters.

Figure 2: 2019 USE Market Indices



Source: USE Trading Department

SECURITIES CENTRAL DEPOSITORY:

Highlights of 2019:

I. Upgrading of the SCDs SWIFT platform to Alliance Lite 2 module. This resulted in the change of the exchanges BIC to UGSXUGKA
II. Launch of training services at the Exchange

SCD Statistics

Table3: Account Opening

Year	2017	2018	2019	Percentage Change
Opening Balance	27,168	29,416	33,610	14.26%
Closing Balance	29,416	33,610	36,211	7.74%
Accounts opened for the Period	2,248	4,194	2,601	-38.00%

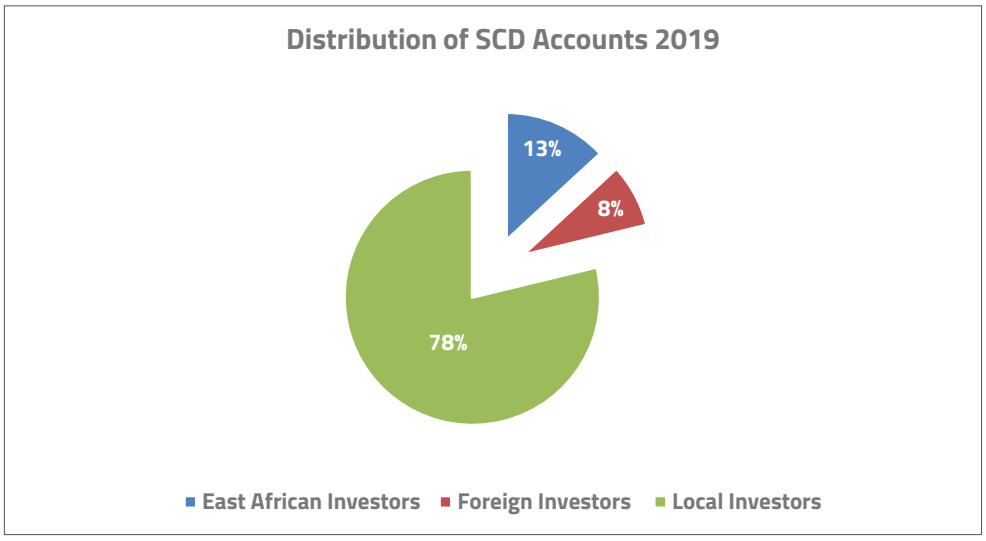
Source: CSD

There was a significant decrease in the number of accounts opened in 2019 compared to the previous year with a total of 2,601 new accounts opened in the year. The 2018 spike was attributable to the CIPLA Quality Chemical Industries IPO.

UAP Financial services accounted for most of the accounts opened in 2019 with 56.63%; they were followed by Crested Stocks and Securities Ltd with 21.03%, Equity Stockbrokers 11.57% and then Baroda Capital markets with 4.15% each. The remaining accounts were distributed among the rest of the brokers and custodians.

Distribution of Accounts in the Depository
Accounts in the depository are classified as Individual, Company, and Minor. These are held under the categories of East African, Local and Foreign Investors.

Figure 3: Distribution of SCD Accounts 2019



Source: SCD Registry

BROKER RANKING – 2019

There was a 182.3% increase in turnover in 2019 compared to 2018. One of the significant transactions was the exit of CDC a minority shareholder in DFCU limited. Standard Bank Group Securities Ltd was the overall leader accounting for 65.7% of the total turnover in 2019 followed by Crested Stocks and Securities with 25.6% and Equity Stockbrokers Limited with 4.2% for the year 2019. The rest of the brokers accounted for the remaining portion. The table shows broker rankings in terms of transactions executed in the Depository.

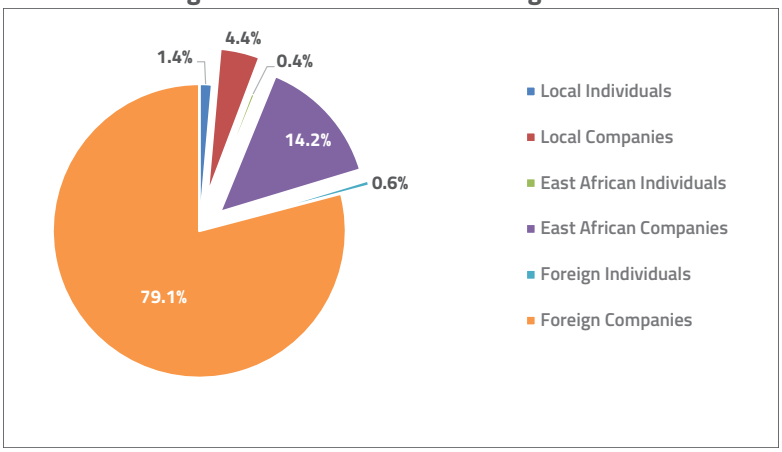
Table 4: Broker Rankings in terms of transactions executed in the Depository.

Broker	2018	2019	Percentage Change
Standard Bank Group Securities Ltd	21,997,623,863	165,857,465,730	654%
Crested Stocks & Securities Ltd	39,097,805,733	64,443,673,877	65%
Equity Stockbrokers	1,726,657,558	10,565,578,721	512%
Baroda Capital Markets (U) Ltd	5,643,641,234	4,580,724,176	-19%
UAP Financial Services Ltd	8,600,227,194	4,252,838,764	-51%
African Alliance (U) Ltd	10,719,928,158	1,549,680,336	-86%
Dyer & Blair (U) Ltd	1,557,681,550	1,003,840,242	-36%
TOTAL	**89,343,565,290**	**252,253,801,846**	**182%**

Source: SCD Registrars

Foreign companies posted the largest number and volumes of the transactions carried out at the Exchange in 2019. These were followed by East African Companies which took up 14.2 percent of the transactions during the year. Local companies and Individuals contribution to the transactions at the Exchange were 4.4 percent and 1.4 percent respectively.

Figure 4: Distribution of SCD Registrars



Source: SCD Registrars

Immobilization Status

A total of 312 Certificates were immobilized in 2019 compared to 303 for previous year worth 48,430,007shares against 48,117,507 shares relating to 2019.

By the end of 2019, the average of the number of shared in the Securities Central Depository (SCD) was 88.2 percent while 11.8 percent were still in certificate form. We expect this figure to greatly improve with several institutional investors expected to immobilize their certificates in the coming year. These investors are mainly on the BATU counter. This marked a tremendous improvement and continues to bring us closer to our goal of full dematerialization.

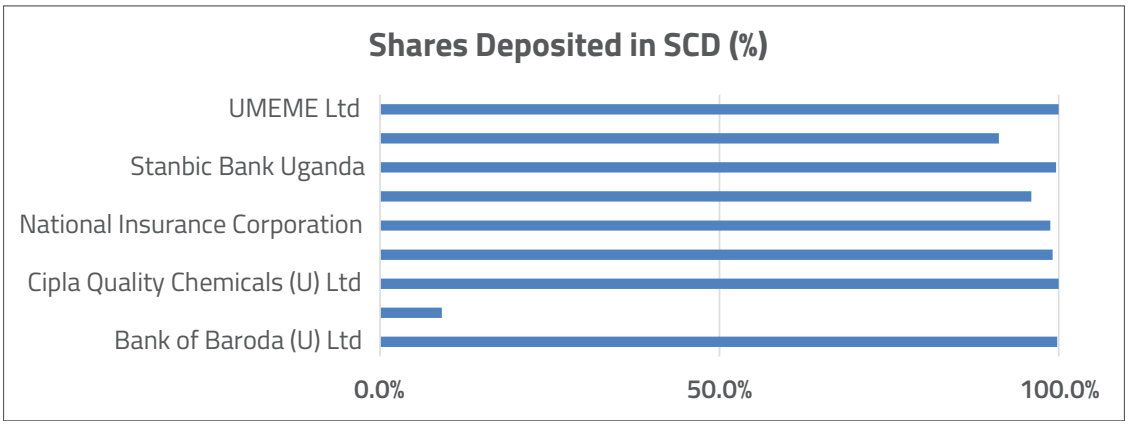
Table 5: Immobilization Status

Issuer	Issued Share Capital	Shares Deposited in SCD	% in SCD	% in Certificate
Bank of Baroda (U) Ltd	2,500,000,000	2,494,367,040	99.8%	0.2%
British American Tobacco (U) Ltd	49,080,000	4,451,847	9.1%	90.9%
Cipla Quality Chemicals (U) Ltd	3,651,909,200	3,651,909,200	100.0%	0.0%
DFCU Ltd	748,143,893	741,603,429	99.1%	0.9%
National Insurance Corporation	1,415,779,718	1,398,321,695	98.8%	1.2%
New Vision Ltd	76,500,000	73,428,554	96.0%	4.0%
Stanbic Bank Uganda	51,188,669,700	50,986,926,284	99.6%	0.4%
Uganda Clays Ltd	900,000,000	820,719,552	91.2%	8.8%
UMEME Ltd	1,624,278,005	1,624,278,005	100.0%	0.0%
Total	**62,154,360,516**	**61,796,005,606**		

Source: SCD Registrars

The graph below shows the percentage of shares deposited in the Securities Central Depository (SCD) per issuer.

Figure 5: Shares Deposited in SCD



Source: SCD Registrars

TRANSFERS

Inter – Depository Transfer:
The main activity was on the UMEME counter which saw a total of 2,896,400 transferred from the CDSC in Kenya back to Uganda .This brought the total number of UMEME Ltd at the Nairobi Securities Exchange (NSE) to 121,852,957 whilst 850 KCB shares were transferred to CDSC Kenya.

Debt Instruments: -
Treasury Bills and Treasury Bonds
A total of 89 Government Securities were issued in the year broken down as follows:

- 20 Treasury bonds amounting to Ugx 2,220 Billion
- 69 Treasury Bills worth Ugx 4,060 Billion

Future Outlook:

- Completion of the online account opening module
- Central bank Settlement to match International Standards
- Implementation of the SWIFT messaging system to effect straight through Processing of instructions in the clearing and settlement process
- Continued attraction of new members and participants into the depository
- Continued collection of paper certificates and their conversion into the electronic shares
- Continued recruitment of clients for registry services

Information SYSTEMS



Information Systems (IS) remains a major component in the operations of the Exchange. It enables efficiency and effectiveness in processing of transactions, data analysis and customer engagement. As a result, it is crucial that IS equipment is kept running and Information/Data is readily available whenever required. This means that our operations need to function at the optimum state.

On July 1st, 2019, the Exchange migrated its critical services to the Infrastructure as a service that will help it go a long way in achieving that goal. The groundwork for this project commenced in FY17.

This infrastructure means that the Exchange can expeditiously scale resources according to its requirements. It has helped the Exchange reduce on the physical servers and other data center infrastructure that it oversees while leveraging on the expertise of the service provider. This has allowed us to focus on managing our own software and core applications that will be a value add to the Exchange and its clients.

The Exchange continues to invest in technologies that will facilitate further advancements in line with the corporate strategy. More focus will be towards improving employee skills to enhance output for the business and its stakeholders. By adopting these technologies, we can add new avenues that allow us to develop tailor made solutions that will be useful to our stakeholders.

Information security remains a major focus area for the Exchange considering increased demand for innovative products and complexity to our infrastructure. As such, we have adapted the best cyber security practices throughout our operations and infrastructure. By maintaining the utmost vigilance, we can safeguard our infrastructure and data.

Corporate GOVERNANCE

CORPORATE GOVERNANCE STATEMENT

This Corporate Governance statement sets out the governance framework adopted by the Board of Uganda Securities Exchange (USE) and highlights the key governance activities of the Board during the 2019 financial year. USE's governance approach is based on the Code of Corporate Governance, Table F Companies Act 2012 Laws of Uganda and recognizes best governance practices under the King Report.

2019 saw the establishment of a substantive Board following the expiry of the tenure of the "transitional Board" put in place in 2017 to the lead the implementation of the demutualization process which has since been successfully completed. With a fully constituted substantive Board, emphasis is now being placed on full integration of the corporate governance principles espoused under Table F of the Companies Act and the King Report in the Board's activities. This statement details how these principles are applied at the Exchange

1. **The Role of the Board**

   The Board is the ultimate decision-making body in the company and is accountable for good governance and organizational performance. It provides both leadership to and oversight of management and defines the purpose and strategic direction of the Exchange. The Board approves policies and reviews their suitability to the business as well as their embodiment of the Company's values. It also approves budgets and financial statements and ensures there is an effective risk management system is in place and a robust internal control environment. The roles and responsibilities of the Board are stipulated in the USE Board Charter. Directors are cognizant of their fiduciary duty to the Company being the overarching duty as they discharge their responsibilities. This charges them to, in all instances, act in the best interests of the company as a whole to promote the success of the company exercising diligence, skill and care.

Conflict of interest management

In keeping with their fiduciary responsibility, Directors have a duty to avoid conflict of interest. USE Directors are required in every meeting to declare any interest in any item on the agenda that is or could result in a conflict of interest. All declarations are documented and where an interest is declared, the declaring Director is required to exclude themselves from participating in making any decision in respect of a matter in which they are conflicted.

Inclusive stakeholder approach

The Board ensures critical consideration of the legitimate interests and expectations of key stakeholders and considers this to be in best interests of the Company. Primary stakeholders of the USE include the shareholders, workforce, listed companies, investing public and trading participants. Our corporate governance approach is reflected in the Exchange's mission "to empower investors and to create safe, convenient and sustainable investment" .

Key activities as reported in this annual report also highlight the company deliberate effort in promoting at financial inclusivity, financial literacy and awareness through programs like the USE University Challenge.

The Board continues to use this approach as a guide in its decision-making process to create sustainable value for the shareholder and the larger society within which we operate as a whole.

2. **Composition of the Board (Size, Skills mix and Diversity)**

   a. Size

   The Board of Directors is a unitary board with a total of eight (08) directors as at the end of the period of reporting comprised of Executive and Non-Executive Directors (NEDs).

USE MEMARTS require that the Board comprise 02 NEDs representing listed companies, 03 NEDs representing Trading Participants and that at least one- third of the directors be Independent NEDs. The Board size is appropriate to facilitate effective discharge of its responsibilities and mandates including at committee level, with sufficient quorum and to ensure productive meetings.

The composition for the reporting period was as indicated as below;

No.	Name	Position
1.	Mr. Charles Mbire	Chairman Board Independent NED
2.	Ms. Cynthia Mbaru	NED -Transitional Board (until 20th Sept. 2019)
3.	Mr. Dickson Musoni	NED Trading Participant representative (effective 20th Sept. 2019)
4.	Ms. Jennifer Mwijukye	Independent NED (effective 20th Sept. 2019)
5.	Dr. Rachel Mindra Katoroogo	Independent NED (effective 20th Sept. 2019)
6.	Mr. Richard Byarugaba	NED Issuer Representative (effective 20th Sept. 2019)
7.	Mr. Robert Baldwin	NED – Transitional Board (until 20th Sept. 2019)
8.	Mr. Radhesham Goyal	NED – Transitional Board (until 1st April 2019)
8.	Mr. Samuel Mwogeza	NED - Issuer Representative (effective 20th Sept. 2019)
9.	Mr. Simon Mwebaze	NED – Trading Participant Representative (effective 20th Sept. 2019)
10.	Paul Bwiso	Executive Director (CEO)

b. Independence of the Board

In line with best corporate governance practice the roles of the Chairman and the CEO are separate. The Board of Directors has a total of 07 Non-Executive Directors, 03 of whom are Independent NEDs including the Chairman as shown in above. Independent NEDs bring independent judgment, expertise and useful contact to the Board. NEDs in general provide objective constructive challenge to management ideas and proposals.

c. Skills mix and Diversity

USE recognizes that diversity in the Board room has a positive effect on the decision-making process and under its Board diversity policy emphasizes embracing of knowledge and understanding of various backgrounds including age, gender, ethnicity, religion, education and skills background. The Board membership boasts of a wide range of technical expertise and a wealth of diverse experiences which ably support well-grounded perspectives during the decision-making processes.

A summary of skills and professional experience mix of the board members is summarized as follows; micro and macroeconomics expertise, global finance and investment law, certified accountancy and investment advisory, marketing, business administration, transport economics and logistics management, pension fund management, business management and entrepreneurship. The Board skills matrix is up to update, and additional necessary skills required to enrich the existent mix are identified with a rolling training calendar for Directors throughout the year. As at the end of the reporting period 33% of Board are females and 50% of the Board are within the millennial age bracket.

d. Board Appointments

The appointment of Directors is undertaken through an adhoc Nominations committee that is constituted as and when the need for consideration of a Board appointments/filing of a casual The Committee is required to conduct a rigorous proactive process that takes into account the Exchange's strategic priorities and main trends affecting the long-term success and future viability of the Exchange. Nomination of Directors for presentation to shareholders for approval and appointment is therefore based on merit and against an objective criterion. Appointment of Directors is governed by USE articles of association and is subject to regulatory approval in line with applicable legislation and regulation.

Director induction and professional development processes are incorporated into the Board program. Directors are encouraged, and are given the opportunity, to broaden their knowledge of the Exchanges' operations and the market's activities in general by interaction with the different members of the management team, visiting offices to view the bourse in order to remain abreast of developments impacting the business. Meetings are scheduled with management to introduce new directors and to explain operations. The Company Secretary is responsible for the induction and ongoing education of Directors.

3. Board Meetings

The Board met 03 times during the reporting period. The Board meetings' schedule is guided by an annual calendar and the meetings are guided by an Agenda informed by priority decisions and discussions necessary to drive the business forward. The Board considers reports from the Board committees which, along with strategy and financial performance items, form the bulk of discussions. Ample time is allowed for debate and constructive discussion and meetings are focused on productivity rather than length which is enabled by the clarity and quality of the reports. Directors are provided with Board briefing papers containing management reports at least 03 days prior to each meeting scheduled to facilitate director preparedness. Management briefs are concise with action–oriented and focused on material, relevant updates and well supported requests for decision.

Minutes are approved and signed at the meeting following the one for which they were captured as a record. A minute book is maintained and stored in a safe. Management is kept accountable for agreed actions arising from the minutes through a "Matters arising" action log updated with progress which is discussed at the Board meetings. Decisions are reached by consensus following discussion and debate. In the event the Board is not satisfied with the reporting or requires further consultation by Management or advice by an expert, a decision may be deferred. Ad hoc meetings are held only in emergency cases.

The Board and its committees have embraced use of technology in its operations to facilitate decision making. Management can seek decisions for urgent matters via circular after provision of clear supporting documents that provide the necessary information to facilitate the decision-making process. Circular decision is presented at the scheduled meetings for confirmation/ratification and documentation in the minutes as having been passed during the reporting period.

Table : Below is summary of the Board meeting held during the reporting period and Directors' attendance.

No.	DIRECTOR	April 2019	Aug 2019	Dec. 2019
1.	Mr. Charles Mbire	A	A	√
2.	Ms. Cynthia Mbaru	√	√	n/a
3.	Mr. Dickson Musoni	√	√	√
4.	Ms. Jennifer Mwijukye (Joined 20.09.2019)	n/a	n/a	√
5.	Dr. Rachel Mindra Katoroogo (joined 20.09.2019)	n/a	n/a	√
6.	Mr. Richard Byarugaba	√	√	√
7.	Mr. Robert Baldwin	√	√	n/a
8.	Mr. Samuel Mwogeza (joined 20.09.2019)	n/a	n/a	√
9.	Mr. Simon Mwebaze	√	√	√
10.	Paul Bwiso	√	√	√

A - Absent **√- Present** **n/a -Not Applicable**

4. Board structure

a. Delegation of Authority

The Board delegates its authority to facilitate effectiveness, timely discharge of obligations as well as utilization of expertise at both committee and management level. Day to day management of the Company is delegated to the Chief Executive who controls, oversees and accounts for bank operations. The Chief Executive further delegates management of units to management committee which assists him in the execution of his mandate within documented thresholds. The Board retains control and independent, objective oversight through a well governed framework allowing management to fulfill its responsibility free of interference but ensuring accountability through reports to the board vide the scheduled meetings, and via digital means in between scheduled meetings.

b. Board Committees

The Board utilizes committees to assist it undertake an in- depth consideration of various matters to wit; appointments, audit and risk management, market conduct and compliance, remuneration and workforce relations .It however retains responsibility for and endorses final decisions in all these areas. The committees report to the Board on the nature and content of their discussions, highlighting recommendations of the committee and the actions or decisions that need to be taken. The Committees roles and responsibilities are contained in their Terms of Reference (TORs) which form part of the Board Charter .These TORs set out the role, responsibilities, scope of authority, composition of the committees and procedures to be followed.

The composition of the committees is structured to assign subject-specific expertise on key operations, such as financial reporting, market operations and conduct but also to maintain an appropriate balance between the Independent NEDs and NEDs for purposes of maintaining a fair and objective perspectives during the deliberations held at committee level.

There are (03) three standing Board committees each of which is comprised of at least three members all of who are NEDs .The Chief Executive Officer (CE) attends the committees as a permanent invitee .The Board Chair is not a member of any of the standing committees

(i) Audit and Risk Committee (ARC)

The ARC is responsible for assessing the integrity and effectiveness of accounting, financial compliance and control systems of the Exchange. The Board relies on this committee to satisfy itself of the accuracy and integrity of financial information including the annual audited and half year unaudited financial accounts. The audit committee has complied with its mandate in the year under review, as well as its legal and regulatory responsibilities.

The Internal Audit function which is outsourced reports directly to the Committee. The Committee maintains a constructive relationship with the internal auditor. The Committee also oversees the relationship between the external auditor and the rest of the company including annual reporting to the Board. It recommends for approval the appointment of external auditors taking into consideration the auditor firm profile, record as well as quality of expertise on core aspects of its business. The committee held (03) meetings in the reporting period and attendance is shown below.

No.	DIRECTOR	April 2019	Aug 2019	Dec. 2019
1.	Mr. Richard Byarugaba (Chair)	√	√	√
2.	Mr. Dickson Musoni	√	√	√
3.	Dr. Rachel Mindra Katoroogo (joined 20.09.2019)	n/a	n/a	√
5.	Mr. Robert Baldwin (until 20.09.2019)	√	√	n/a
6.	Mr. Samuel Mwogeza (joined 20.09.2019)	n/a	n/a	√



(ii) Business Conduct Committee (BCC)

The Business Conduct Committee is mandated to deliberate on issues related to admission of securities on the Exchange, conduct of market participants and compliance with the USE Rules framework. The Committee provides oversight in the monitoring of compliance with continuing listing obligations by the issuers and makes recommendations to the Board on necessary action for non-compliance including imposing penalties and other sanctions as provided under the USE rules framework. The committee also reviews members conduct in the market with a view of recommending disciplinary measures. It is charged with the task of reviewing proposed amendments to rules of the USE on a continuing basis making the necessary recommendations regarding the proposed amendments to the Board for approval.

Due to the nature of its role, the Committee regularly utilizes circular resolutions to guide management action. These circulars are presented at the next available meeting for confirmation and recording. The Committee is required to meets at least two times in a year to discharge its duties and responsibilities. Meeting attendance during the reporting period is shown below.

No.	DIRECTOR	July 2019	Aug 2019	Dec. 2019
1.	Mr. Robert Baldwin (Chair) (until 20.09.2019)	√	√	n/a
2.	Mr. Dickson Musoni	√	A	√
3.	Dr. Rachel Mindra Katoroogo (joined 20.09.2019)	n/a	n/a	√
4.	Mr. Richard Byarugaba	A	√	√

(iii) Finance and Human Resources Committee

The mandate of this Committee is to assist the Board oversee the financial activities of the USE and is responsible for all financial matters in the areas of strategic financial planning, financial risk management, financial monitoring, resource management and treasury matters. The Committee reviews and monitors the company's financial performance and strategic financial ambitions related to the achievement of approved financial targets and forecasts by management and is responsible for the development, review and monitoring of the company's financial risk management strategy and policies and oversee their implementation and execution. The committee also reviews and approves the annual budget ensuring that it is aligned with the company's strategic plan and considers any requests for supplementary budgets as well as adjustments and/or reallocation of resources within the respective budgets.

It also advises on matters pertaining to the company's structure, staffing, remuneration and compensation as well as human resource strategy, policy and procedures. It oversees the implementation of the Company's remuneration philosophy and strategy through setting executive remuneration covering salary and benefits, performance based, variable rewards, pensions and terms of service, setting of targets applicable for the Company's performance based reward schemes, monitoring and advising the Board on major changes to the policy on employee benefit structures for the Exchange.

In view of the high level integration of technology and automated systems in facilitating the execution of core business operations and processes, the Board noted the need to monitor and prioritize major IT strategic decisions from a cross-functional perspective and to ensure that IT strategy and operations are aligned with the strategic goals of the Exchange. This oversight responsibility was delegated to the Finance and HR Committee and is now considered as a standard agenda item during the committee meetings.

The Committee is required to meet at least twice a year

No.	DIRECTOR	*Feb 2019	*March 2019	June 2019	Aug 2019	Dec.2019
1.	Mr. Simon Mwebaze (Chair)	√	√	√	√	√
2.	Ms. Cynthia Mbaru (until 20.09.2019)	√	√	√	√	√
3.	Ms. Jennifer Mwijukye (Joined 20.09.2019)	n/a	n/a	n/a	n/a	A
4.	Mr. Radhesham Goyal (until 01.04.2019)	√	√	n/a	n/a	n/a
5.	Mr. Samuel Mwogeza (joined 20.09.2019)	n/a	n/a	n/a	n/a	√

*Adhoc meetings

(iv) Adhoc Nominations Committee

During the reporting period, the Board constituted a Nominations Committee to consider the recruitment of new Board members. This was due to the need to consider the new Board appointments following the expiry of the tenure of members of the transition Board and to achieve compliance with the Board composition requirements stipulated in the Company's MEMARTS

The Committee held 02 (two) meetings to consider specific appointments during the reporting period.

No.	DIRECTOR	May 2019	Aug 2019
1.	Mr. Charles Mbire (Chair)	√	A
2.	Ms. Cynthia Mbaru	√	√
3.	Mr. Robert Baldwin	√	√

5. Evaluating Board Performance

The Board recognizes the Board evaluation process as a valuable feedback mechanism for improving its effectiveness, maximizing its strengths, and highlighting areas for improvement. The Board Charter requires annual evaluation of Board performance. A Board evaluation exercise was conducted during the reporting period. The exercise was externally facilitated by the Institute of Corporate Governance- Uganda (ICGU) and assessment was conducted using a detailed tool with evaluation criteria linked to roles and responsibilities of the Board and respective Board committees and well as Directors in their individual capacity.

6. Relationship with Shareholders.

Shareholders have access to the management and the Board who remain accessible throughout the course of the period to provide necessary support, information as may be required by shareholders from time to time .In addition to the above shareholders attend the Annual General Meeting which serves as a forum for engagement and dialogue and Directors are available at the meeting to answer shareholder questions. Voting at General Meetings is conducted by show of hands and every item is presented and voted on separately.

7. Directors Trading in Securities

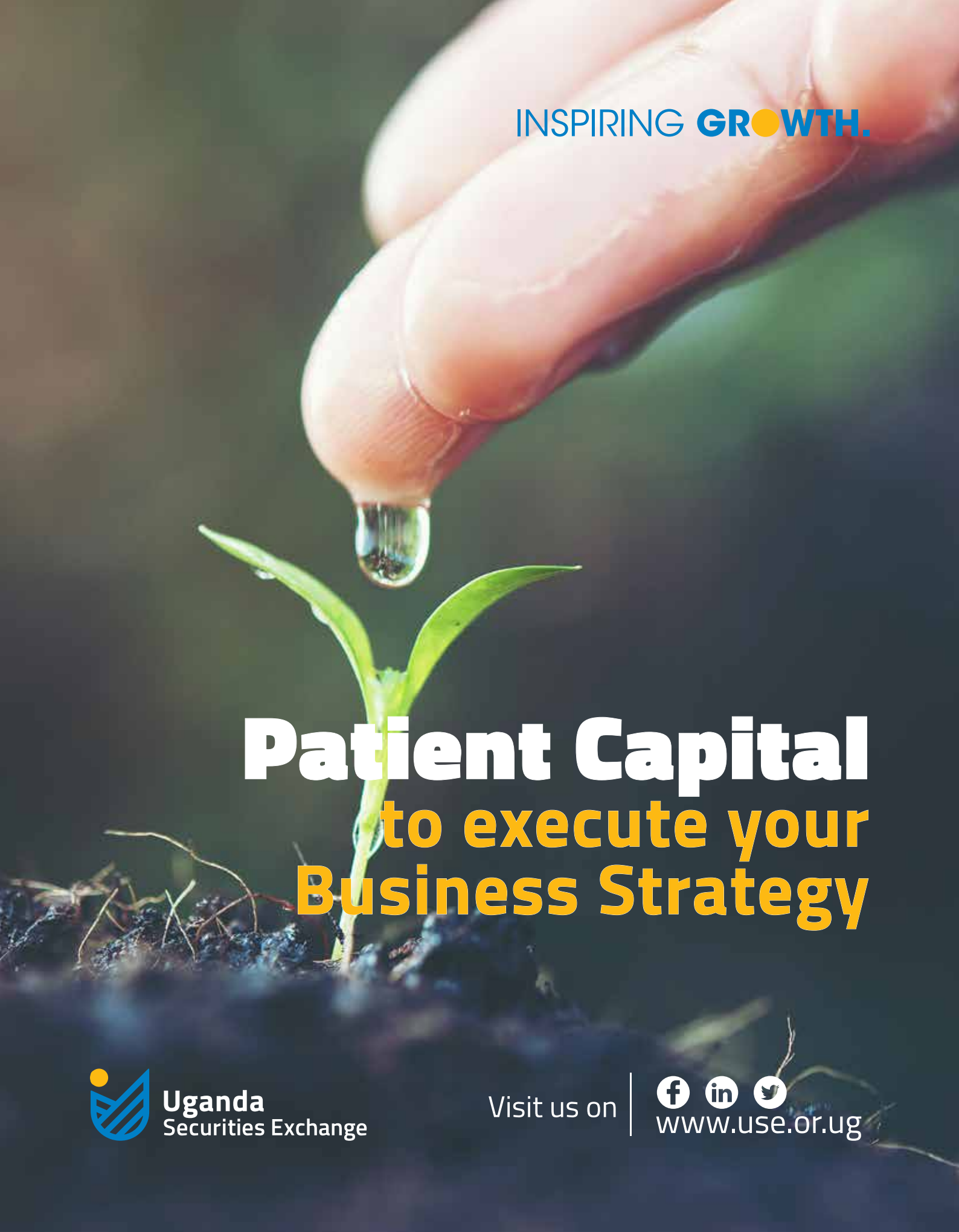
Directors are bound by the USE Insider Trading Rules 2008 and USE Rules 2003 on pre trading notification. All Directors are required to notify the Exchange prior to trading and are prohibited from trading in securities during the respective closed periods of listed companies and other periods where the Board is in possession of price sensitive information, in which case closed periods are imposed on the concerned Directors.

8. Board remuneration

The Board remuneration structure includes sitting allowances per meeting. The Board chairperson and committee chairpersons receive slightly higher fees in recognition of the additional responsibilities and contribution expected including availability for consultation in between Board meetings. Board remuneration is approved by shareholders on an annual basis and further details on Board remuneration are included in the audited financial statements

9. Company Secretary

The Company Secretary is responsible for ensuring the Board procedures are complied with and advising the Board on all governance matters and helping the Board and its committees' function efficiently. The Company Secretary keeps the Board abreast of relevant changes in legislation and governance best practices. They oversee the induction of new directors as well as the ongoing education of directors. To enable the Board to function effectively, all directors have full and timely access to information that may be relevant to the proper discharge of their duties. This includes reports and papers necessary to facilitate decision making as well as updates on developments which may affect the Exchange and its operations. All directors have access to the services of the Secretary.


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Risk MANAGEMENT

INTERNAL CONTROL ENVIRONMENT AT UGANDA SECURITIES EXCHANGE.

Introduction
According to the Association of Certified Fraud Examiners (ACFE) 2018 "Report to the Nations", weak internal controls are responsible for almost half of all fraud in organizations. However, to design an appropriate system of internal controls in an organization, significant resources are committed to ensure the system is not making the organization an easy target for fraud. These include compliance to known control frameworks.

The Committee of Sponsoring Organizations of the Treadway Commission (COSO)'s published Internal Control–Integrated Framework (2013), which identified five integrated components of internal control as **control environment, risk assessment, control activities, information and communication, and monitoring activities (see the COSO Cube);** defines internal control as a process effected by an entity's board of directors, management and other personnel designed to provide reasonable assurance of the achievement of objectives in the following categories:

- Operational Effectiveness and Efficiency
- Financial Reporting Reliability
- Applicable Laws and Regulations Compliance

The International Standards for the Professional Practice of Internal Auditing (Standards) defines the control environment as the attitude and actions of the board and management regarding the significance of control within the organization. According to the Institute of Internal Auditors (IIA), a control environment is the foundation on which an effective system of internal control is built and operated in an organization that strives to:



- Achieve its strategic objectives
- Provide reliable financial reporting to internal and external stakeholder
- Operate its business efficiently and effectively
- Comply with all applicable laws and regulations
- Safeguard its assets

As the primary component of internal controls system in an organization, COSO defines the Control Environment as the set of standards, processes and structures that provide the basis for carrying out internal control across the organization. This component comprises the tone at the top, communication about ethical behavior and internal control with all levels of staff, and the overall integrity and values of the organization.

Roles and responsibilities.
Clarity about the roles and responsibilities of the various stakeholders in the internal control facilitates the strengthening of the control environment. Invariably.

- The Board of Directors is the highest authority in charge of approving and supervising the system of internal controls and is responsible for their existence and maintenance.
- The Management is responsible for design, implementation, and operation of internal controls and risk management processes.
- The Audit and Risk Committee (ARC), through outsourced internal audit to BDO East Africa, is responsible for the supervision of the internal controls through independent assessment of the design adequacy and effectiveness of the controls.

Control environment principles

In our evaluation of the control environment at the Exchange, we present the five Principles as stipulated in the COSO Internal Controls – Integrated Framework (2013):

1. **Demonstrate commitment to integrity and ethical values**

   The Exchange's Board of directors, the audit committee and senior management in demonstration of their commitment with the principle have instituted the appropriate tone at the top, with communication — through both directive and their own behavior—the importance of an ethical work environment and its role in achieving organizational goals. We further assert that the messaging and supportive tone from the Board has increased the cooperation within the Exchange.

   At the Exchange, specific standards of conduct with a clearly articulated statement of values and ethical behaviors that is understood by key executives and the board has been established and conveyed to staff at all levels of the organization, with processes in place to evaluate performance and quickly address deviations from expectations and targets. We note in our review of the board agenda, minutes, and information packets, that the board evaluates and monitors the risk of not achieving internal control objectives.

2. **Exercise oversight responsibility**

   In the exercise of its mandate, the board of directors has demonstrated independence from management and exercises oversight of the development and performance of internal control. Not only has the Board maintained independence from management but has the necessary expertise to fulfill individual roles and oversee the design and implementation of internal controls, which has been carried out by management. With the quarterly reporting obligations to the Audit and Risk Committee, the Board has established processes to periodically validating the reliability of the information system and the accuracy, completeness, and timeliness of the information generated from that system.

3. **Establish structure, authority, and responsibility**

   With board oversight, management has established and reviewed or is in the process of reviewing the structures, reporting lines, and appropriate authorities and responsibilities in the pursuit of established objectives. Management acknowledges the critical role of adequate segregation of duties by defining responsibilities at the various levels of the organization to enable and enhance appropriate delegation of authority, responsibility, and flow of information. Formal job/role descriptions exist that define tasks and competencies for each position.

   We further note that significant decisions at the Exchange are left for the board of directors' authority and approval. Management quarterly presents for Board's review and approval management's assignments and limitations of authorities and responsibilities. We have also reviewed the process control structures and various types of control activities such as reconciliation, supervisory, physical, and verification controls to determine the optimal balance or mix of controls that will mitigate the identified risks.

4. **Demonstrate commitment to competence**

   The Exchange has demonstrated the commitment to attracting, developing, and retaining competent individuals in alignment with objectives. With proposals to enhance the appraisal system readily accepted by management and management's continued belief in the professionalization of the workforce, monitoring staff competence has become a central aspect and evaluation of staff is now a continues process.

   Indeed, competence is nurtured and reinforced through the ongoing plan to develop and train

employees and the Exchange possesses adequate competencies in relevant fields of financial reporting, internal control, compliance, and risk management.

5. **Enforce accountability**
   The Exchange holds responsible individuals accountable for their internal control responsibilities in the pursuit of objectives. Accountability has further been reinforced by establishing clear expectations, performance measures, and incentives that consider the pressures of achieving the related goals. It is also reinforced by taking corrective action when appropriate. These performance targets, which facilitate the cascading of the overall strategic objectives, form the key basis of the performance appraisals and assessment of the progress of the achievement of the strategic objectives.

Conclusion

In our evaluation of the Exchange's control environment and unique risks, we considered the principles for inherent or residual risks and deficiencies to provide, on overall basis, an assessment of the system of internal controls and their impact on other controls in the organization.

We reiterate our belief that strong internal control system can help mitigate many of the risks associated with current and future complex legislative, regulatory, and market pressures and this starts with an effective control environment.

The efforts of various stakeholders with responsibility of internal control has facilitated the Exchange in its efforts to continuously align its risk and controls to its objectives.

We express our sincere appreciation to the Board, Management, and Staff of Uganda Securities Exchange for the assistance and cooperation extended to the audit team during our assignments.

BDO



Audited Financials

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Uganda Securities Exchange

CORPORATE INFORMATION

Report and financial statements for the year ended 31 December 2019

Uganda Securities Exchange

BOARD OF DIRECTORS	Mr. Charles Mbire	Chairman
	Mr. Simon Mwebaze	
	Mr. Richard Byarugaba	
	Ms. Jennifer Mwijukye Kabanyana	Appointed on 20/09/2019
	Mr. Samuel Frederick Mwogeza	Appointed on 20/09/2019
	Dr. Rachel Mindra Katoroogo	Appointed on 20/09/2019
	Mr. Dickson Musoni	Appointed on 20/09/2019
	Mr. Robert Baldwin **	Until 20/09/2019
	Ms. Cynthia Mbaru ****	Until 20/09/2019
	Mr. Goyal Radhesham ******	Resigned on 01/04/2019
	**American	
	****Kenyan	
	******Indian	
SECRETARY	**Alison Kwikiriza Serucaca** UAP Nakawa Business Park Plot 3-5, New Port Bell Road, Block A, 4th Floor P. O. Box 23552, Kampala	
REGISTERED OFFICE	**UAP Nakawa Business Park** Plot 3-5, New Port Bell Road, Block A, 4th Floor P. O. Box 23552, Kampala	
AUDITOR	**KPMG Uganda** Certified Public Accountants 3rd Floor Rwenzori Courts Building P. O. Box 3509, Kampala	
BANKERS	**Citibank Uganda Limited** Corporate Banking Division Plot 4 Ternan Avenue P. O. Box 7505, Kampala	
	DFCU Bank Limited Plot 26, Kyadondo Road, Nakasero P. O. Box 70, Kampala	
	Orient Bank Limited Plot 6/6A, Kampala Road P O Box 3072, Kampala	

Uganda Securities Exchange

REPORT OF THE BOARD OF DIRECTORS

For the year ended 31 December 2019

The Board of Directors present their report together with the audited financial statements of Uganda Securities Exchange Limited ("USE"/"the Company") for the year ended 31 December 2019.

PRINCIPAL ACTIVITIES

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016, demutualization became a regulatory requirement to be fulfilled within 2 years from the date of enactment thus requiring USE to comply with the law by 20th May 2018.

In accordance with the above requirement, Uganda Securities Exchange Limited was incorporated on 18th May 2017 as a public company limited by shares with authorised share capital of Uganda shillings 1 billion (Ugx 1,000,000,000) divided into 100 million shares of a nominal value of Ugx 10 shillings each.

Current issued and paid up share capital of the Company is Uganda Shillings four hundred and twenty million (Ugx 420,000,000) (see note 18).

Uganda Securities Exchange Limited is a company limited by shares and incorporated in Uganda under the Companies Act of Uganda. The principal activity of the entity is to provide, maintain suitable premises and facilities for conducting all the business of a securities exchange and to regulate trading participants and ensure day to day management of trading, settlement, delivery and other activities on dealing in securities in accordance with the Rules and procedures of USE.

The Uganda Securities Exchange Limited was licensed to operate as an approved Stock Exchange in June 1997 by the Capital Markets Authority of Uganda under the Capital Markets (Licensing) Regulations 1996 and is regulated by the Capital Markets Authority.

	2019 Ushs'000	2018 Ushs'000
FINANCIAL RESULTS		
Profit before taxation	393,470	193,031
Tax charge	(149,677)	(66,111)
Profit for the year transferred to retained earnings	**243,793**	**126,920**

BOARD OF DIRECTORS

The present membership of the Board of Directors is set out on page 1.

COMPANY SECRETARY

Alison Kwikiriza Serucaca

AUDITOR

The auditor, KPMG, being eligible for reappointment has expressed willingness to continue in office in accordance with Section 167 (2) of The Companies Act, 2012 ("the Companies Act of Uganda")

Approval of financial statements

The financial statements were approved at a meeting of the Board of Directors held on 04th September 2020.

BY ORDER OF THE BOARD
Company Secretary
Kampala



Uganda Securities Exchange

STATEMENT OF DIRECTOR'S RESPONSIBILITIES

For the year ended 31 December 2019

The Company's directors are responsible for the preparation of financial statements that give a true and fair view of Uganda Securities Exchange Limited comprising the statement of financial position as at 31 December 2019, and the statements of comprehensive income, changes in equity and cash flows for the year then ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes, in accordance with International Financial Reporting Standards and the Companies act of Uganda.

The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and for maintaining adequate accounting records and an effective system of risk management.

The directors have made an assessment of the ability of the Company to continue as going concern and have no reason to believe that the business will not be a going concern for at least the next twelve months from the date of this statement.

The auditor is responsible for reporting on whether the financial statements give a true and fair view in accordance with the International Financial Reporting Standards and the Companies Act of Uganda.

Approval of the financial statements

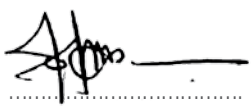
The financial statements of the company, as indicated above, were approved and authorised for issue by the Board of Directors on .....04th September.....2020.



.....

Chief Executive Officer

04th September 2020



.....

Chairman of the Board

04th September 2020

Uganda Securities Exchange

INDEPENDENT AUDITOR'S REPORT

To the Members of Uganda Securities Exchange Limited

Opinion

We have audited the financial statements of Uganda Securities Exchange Limited ("the Company") set out on pages 7 to 45, which comprise the statement of financial position as at 31 December 2019, and the statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Uganda Securities Exchange Limited as at 31 December 2019, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act of Uganda.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), together with the ethical requirements that are relevant to our audit of the financial statements in Uganda, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. We have determined that there are no key audit matters to communicate in our report.

Other Information

The directors are responsible for the other information. The other information comprises the information included in Board of Directors, Company Information and Statement of Directors' Responsibility. Other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the financial statements

As stated on page 3, the directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards, the Companies Act of Uganda, and for such internal control as the directors determine is necessary to enable the preparation of the financial statements that are free from material misstatements, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for overseeing the Company's financial reporting process.

Uganda Securities Exchange

INDEPENDENT AUDITOR'S REPORT

To the Members of Uganda Securities Exchange Limited

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of Board of Director's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern.

- If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Uganda Securities Exchange

INDEPENDENT AUDITOR'S REPORT

To the Members of Uganda Securities Exchange Limited

Report on Other Legal and Regulatory Requirements

As required by the Companies Act of Uganda, we report to you based on our audit, that:

i) We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;

ii) In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and

iii) The Company's Statement of Financial Position and Statement of Comprehensive Income are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Asad Lukwago - P0365.



KPMG

Certified Public Accountants

3rd Floor, Rwenzori Courts

Plot 2&4A, Nakasero Road

P O Box 3509, Kampala - Uganda

Date.....04th September.....2020

Uganda Securities Exchange

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2019

	Notes	2019 Ushs'000	2018 Ushs'000
Fees and commissions	5	1,653,265	1,954,138
Revenue grant	6	62,500	87,500
Other income	7(a)	545,675	332,987
Interest income	7(b)	706,529	531,904
Gross income		**2,967,969**	**2,906,529**
Operating expenses	8	(300,754)	(362,965)
Administration expenses	9	(1,048,875)	(1,059,139)
Impairment of financial assets	25(a)	(31,720)	(11,130)
Staff costs	10	(1,055,506)	(1,263,727)
Finance costs	15(b)	(132,707)	-
Foreign exchange loss		(4,937)	(16,537)
Profit before taxation	**11**	**393,470**	**193,031**
Tax charge	12(a)	(149,677)	(66,111)
Profit for the year		**243,793**	**126,920**
Other comprehensive income		-	-
Total comprehensive income for the year		**243,793**	**126,920**

The notes on pages 60 to 100 are an integral part of these financial statements.

Uganda Securities Exchange

STATEMENT OF FINANCIAL POSITION

For the year ended 31 December 2019

	Notes	2019 Ushs'000	2018 Ushs'000
ASSETS			
Non-current assets			
Intangible assets	13	75,627	157,145
Equipment	14	394,981	147,173
Right of Use	15(a)	936,473	-
Unquoted investments	17	65,176	65,176
Deferred tax asset	12(c)	42,432	34,115
		1,514,689	**403,609**
Current assets			
Trade and other receivables	19	568,922	454,800
Due from related parties	16(b)	292,130	361,171
Fixed deposit	20	5,437,284	4,857,828
Tax recoverable	12(d)	-	16,623
Bank and cash balances	22	81,281	203,429
		6,379,617	**5,893,851**
Total assets		**7,894,306**	**6,297,460**
EQUITY AND LIABILITIES			
Equity			
Share capital	18	420,000	420,000
Retained earnings	24	5,953,535	5,709,742
Total equity		**6,373,535**	**6,129,742**
NON-CURRENT LIABILITIES		-	-
Current liabilities			
Amounts due to related parties	16(c)	1,740	1,740
Lease liability	15(c)	977,777	-

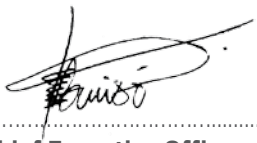
Uganda Securities Exchange

STATEMENT OF FINANCIAL POSITION

For the year ended 31 December 2019

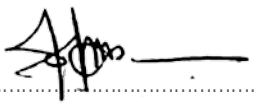
Trade and other payables	21	427,440	165,978
Corporation tax payable	12(d)	113,814	-
		1,520,771	**167,718**
Total equity and liabilities		**7,894,306**	**6,297,460**

The financial statements on pages 7 to 45 were approved by the Board of Directors on ..... 2020 and signed on its behalf by:



.....

Chief Executive Officer



.....

Chairman of the Board of Directors

The notes set out on pages 11 to 45 form an integral part of these financial statements.

Uganda Securities Exchange

STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2019

	Share capital	Retained earnings	Total
	Ushs'000	Ushs'000	Ushs'000
1 January 2018	**420,000**	**5,628,627**	**6,048,627**
IFRS 9 day one adjustment	-	(45,805)	**(45,805)**
Total comprehensive income for the year	-	126,920	**126,920**
At 31 December 2018	**420,000**	**5,709,742**	**6,129,742**
Balance at 1 January 2019	**420,000**	**5,709,742**	**6,129,742**
Total comprehensive income for the year	-	243,793	243,793
At 31 December 2019	**420,000**	**5,953,535**	**6,373,535**

The notes set out on pages 11 to 45 from an integral part of these financial statements.

Uganda Securities Exchange

STATEMENT OF CASH FLOWS

For the year ended 31 December 2019

	Notes	2019 Ushs'000	2018 Ushs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		**393,470**	**193,031**
Adjusted for:			
Depreciation		57,825	108,720
Amortisation		81,518	97,615
Increment in recognition of IFRS 16 depreciation and interest		41,303	-
ECL on fixed deposits		1,718	177
Interest accrual		(238,000)	(190,150)
		337,834	**209,393**
Changes in working capital balances			
Increase in trade and other receivables		(474,121)	(150,820)
Decrease/ (increase) in amounts due from related parties		69,041	(16,201)
Increase/ (decrease) in trade and other payables		261,462	(70,424)
Cash generated from /(used in) operating activities		**194,216**	**(28,052)**
Tax paid		(27,557)	-
Net cash generated from/ (used in) operating activities		**166,659**	**(28,052)**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property and equipment		(305,633)	(1,794)
(Investments in)/ proceeds from fixed deposits		(343,174)	10,710
Net cash (used in)/ from investing activities		**(648,807)**	**8,916**

Uganda Securities Exchange

STATEMENT OF CASH FLOWS

For the year ended 31 December 2019

CASH FLOWS FROM FINANCING ACTIVITIES			
Share capital received		360,000	60,000
Net cash generated from financing activities		**360,000**	**60,000**
(Decrease)/ increase in cash and cash equivalents		**(122,148)**	**40,864**
Cash and cash equivalents at beginning of year		**203,429**	**162,565**
Cash and cash equivalents at end of year		**81,281**	**203,429**
Represented by:			
Bank and cash balances	**22**	**81,281**	**203,429**

The notes set out on pages 11 to 45 from an integral part of these financial statements

Uganda Securities Exchange

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

1. GENERAL

Uganda Securities Exchange Limited is a company limited by shares and incorporated in Uganda under the Companies Act of Uganda.

For purposes of Companies Act of Uganda, the balance sheet has been named as the Statement of Financial Position in these financial statements, and the profit and loss account is represented by the Statement of Comprehensive Income.

2. BASIS OF PREPARATION

(a) Basis of accounting

The financial statements of Uganda Securities Exchange Limited have been prepared in accordance with International Financial Reporting Standards (IFRS) and the Companies Act of Uganda.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis, except where otherwise stated in the accounting policies below.

(c) Functional and presentation currency

The financial statements are presented in Uganda Shillings (Ushs '000), which is the Company's functional and presentation currency.

3. CHANGES IN ACCOUNTING POLICIES

The Company initially applied IFRS 16 Leases from 1 January 2019. A number of other new standards are also effective from 1 January 2019 but they do not have a material effect on the
Company's financial statements.

Definition of a lease

Previously, the Company determined at contract inception whether an arrangement was or contained a lease under IFRIC 4 Determining whether an Arrangement contains a Lease. The Company now assesses whether a contract is or contains a lease based on the definition of a lease.

On transition to IFRS 16, the Company elected to apply the practical expedient to grandfather the assessment of which transactions are leases. The Company applied IFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified as leases under IAS 17 and IFRIC 4 were not reassessed for whether there is a lease under IFRS 16. Therefore, the definition of a lease under IFRS 16 was applied only to contracts entered into or changed on or after
1 January 2019.

As a Lesse

As a lessee, the Company leases an apartment in the building where their offices are located. The Company previously classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all of the risks and rewards incidental to ownership of the underlying asset to the Group. Under IFRS 16, the Company recognises right-of-use assets and lease liabilities for most of these leases – i.e. these leases are on-balance sheet.

At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of its relative stand-alone price.

However, for leases of apartment building, the Company has elected not to separate non-lease components and account for the lease and associated non-lease components as a single lease component.

Leases classified as operating leases under IAS 17

Previously, the Company classified property

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leases as operating leases under IAS 17. On transition, for these leases, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Company's incremental borrowing rate as at 1 January 2019.

Right-of-use assets are measured at either:

- Their carrying amount as if IFRS 16 had been applied since the commencement date, discounted using the Company's incremental borrowing rate at the date of initial application: the Company applied this approach to its largest property lease; or
- An amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments: the Company didn't apply this approach to the leases.

The Company has tested its right-of-use assets for impairment on the date of transition and has concluded that there is no indication that the right-of-use assets are impaired.

The Company used a number of practical expedients when applying IFRS 16 to leases previously classified as operating leases under IAS 17. In particular, the Company:

- Did not recognise right-of-use assets and liabilities for leases for which the lease term ends within 12 months of the date of initial application;
- Did not recognise right-of-use assets and liabilities for leases of low value assets (e.g. IT equipment);
- Excluded initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- Used hindsight when determining the lease term.

As a Lessor

The Company doesn't lease out any property and equipment and as such is not required to make any adjustments on transition to IFRS 16 for leases which it acts as a lessor.

Impact on Financial Statements

On transition to IFRS 16, the Company recognised additional Right of Use assets and additional Lease Liabilities. The impact of transition is summarised as below;

1 January 2019

	Shs 000'
Operating lease commitments as at 31 December 2018	294,802
Finance lease liability as at 31 December 2018	-
Discounted using the incremental borrowing rate of 13.09% at 1 January 2019	1,110,959
Lease liability at 1 January 2019	**1,110,959**

When measuring lease liabilities for leases that were classified as operating leases, the Company discounted lease payments using its incremental borrowing rate as at 1st January 2019. The weighted average rate applied is 13.09%

1 January 2019

	Shs 000'
Lease liability	1,110,959
Refundable deposit	12,808
Right of Use Asset (ROU)	**1,123,767**

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4. SIGNIFICANT ACCOUNTING POLICIES

RECENTLY ISSUED ACCOUNTING STANDARDS/ NEW ACCOUNTING PRONOUNCEMENTS

a) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2019

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2019, and have not been applied in preparing these financial statements.

The Company does not plan to adopt these standards early. These are summarised below:

New standard or amendments	Effective for annual periods beginning on or after
▪ Amendments to References to Conceptual Framework in IFRS Standards ▪ Definition of a Business (Amendments to IFRS 3) ▪ Definition of Material (Amendments to IAS 1 and IAS 8)	1 January 2020
▪ IFRS 17 Insurance contracts	1 January 2021

All Standards and Interpretations will be adopted at their effective date (except for those Standards and Interpretations that are not applicable to the entity).

Classification and Measurement of Share-based Payment Transactions (Amendments to IFRS 2)

The following clarifications and amendments are contained in the pronouncement:

- **Accounting for cash-settled share-based payment transactions that include a performance condition**
  Up until this point, IFRS 2 contained no guidance on how vesting conditions affect the fair value of liabilities for cash-settled share-based payments. IASB has now added guidance that introduces accounting requirements for cash-settled share-based payments that follows the same approach as used for equity-settled share-based payments.

- **Classification of share-based payment transactions with net settlement features**
  IASB has introduced an exception into IFRS 2 so that a share-based payment where the entity settles the share-based payment arrangement net is classified as equity-settled in its entirety provided the share-based payment would have been classified as equity-settled had it not included the net settlement feature.

- **Accounting for modifications of share-based payment transactions from cash-settled to equity-settled**
  Up until this point, IFRS 2 did not specifically address situations where a cash-settled share-based payment changes to an equity-settled share-based payment because of modifications of the terms and conditions. The IASB has introduced the following clarifications:

- On such modifications, the original liability recognised in respect of the cash-settled share-based payment is derecognised and the equity-settled share-based payment is recognised at the modification date fair value to the extent services have been rendered up to the modification date.

- Any difference between the carrying amount of the liability as at the modification

date and the amount recognised in equity at the same date would be recognised in profit and loss immediately.

The amendments are effective for annual periods beginning on or after 1 January 2020. Earlier application is permitted. The amendments are to be applied prospectively. However, retrospective application if allowed if this is possible without the use of hindsight. If an entity applies the amendments retrospectively, it must do so for all of the amendments described above.

The adoption of this standard is not expected to have a significant impact the financial statements of the Company.

ai) IFRS 17

IFRS 17 supersedes IFRS 4 Insurance Contracts and aims to increase comparability and transparency about profitability. The new standard introduces a new comprehensive model ("general model") for the recognition and measurement of liabilities arising from insurance contracts. In addition, it includes a simplified approach and modifications to the general measurement model that can be applied in certain circumstances and to specific contracts, such as:

- Reinsurance contracts held;
- Direct participating contracts; and
- Investment contracts with discretionary participation features.

Under the new standard, investment components are excluded from insurance revenue and service expenses. Entities can also choose to present the effect of changes in discount rates and other financial risks in profit or loss or OCI.

The new standard includes various new disclosures and requires additional granularity in disclosures to assist users to assess the effects of insurance contracts on the entity's financial statements.

The standard is effective for annual periods beginning on or after 1 January 2021. Early adoption is permitted.

The standard is not applicable to the client since the entity does not deal in insurance contracts.

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)

The amendments require the full gain to be recognised when assets transferred between an investor and its associate or joint venture meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or joint venture is recognised. The definition of a business is key to determining the extent of the gain to be recognised.

The effective date for these changes has now been postponed until the completion of a broader review.

b) REVENUE RECOGNITION

Revenue is measured at the fair value of the consideration received or receivable from provision of goods and services. Revenue is reduced for estimated customer returns, rebates and other similar allowances. Fees and commissions are recognised on an accrual basis on delivery of the related service.

Interest income is recognised on an accrual basis by reference to the principal outstanding and at the effective interest rate applicable. Grant revenue is recognised when received by the entity and when the conditions for the grant are met.

c) PROPERTY PLANT AND EQUIPMENT

Equipment are stated at the cost of bringing the assets to their present location and condition

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less accumulated depreciation and any accumulated impairment losses.

DEPRECIATION

Depreciation is calculated to write off the cost of property, plant and equipment on a straight line basis using the following annual rates: -

Motor vehicles	25.00%
Furniture and fittings	12.50%
Office partitions	33.33%
Computer equipment	33.33%

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Gains and losses on disposal of equipment is determined by reference to their carrying amount and are taken into account in determining operating profit.

d) INTANGIBLE ASSETS

Software

Software acquired by the Company is measured at cost less accumulated amortisation and any accumulated impairment losses. Expenditure on internally developed software is recognised as an asset when the Company is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development.

The capitalised costs of internally developed software include all costs directly attributable to developing the software and capitalised borrowing costs, and are amortised over its useful life.

Internally developed software is stated at capitalised cost less accumulated amortisation and impairment.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software is amortised on a straight-line basis over its estimated useful life, from the date that it is available for use. The estimated useful life of software for the current and comparative periods is five years.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

e) CAPITAL GRANTS

Grants related to the acquisition of assets are recognised in profit or loss on a systematic basis over the useful lives of the assets acquired.

f) SUBSIDIARY

A subsidiary is a company in which the Company either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations of the entity when it is exposed to or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The subsidiary, Uganda Securities Exchange Nominees Limited, is not consolidated in these financial statements as it is immaterial. It has never had any transactions or balances since incorporation.

g) JOINT ARRANGEMENTS

The company classifies joint arrangements as joint operations if it has joint control over the assets and have rights to the assets and obligations for the liabilities relating to the arrangement. The company recognizes its share of assets at cost less impairment and amortization in accordance with IAS 38 and recognizes its share of income and expenses on accruals basis.

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h) IMPAIRMENT OF TANGIBLE AND INTANGIBLE ASSETS

At each end of reporting period, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

i) FINANCIAL INSTRUMENTS

(a) Recognition and initial measurement

Trade receivables are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(b) Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at: amortized cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing

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financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

Financial assets

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortized cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets (see Note 32(A)). On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets – Business model assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Group's management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for de-recognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on fair value basis are measured at FVTPL.

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Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- Contingent events that would change the amount or timing of cash flows;
- Terms that may adjust the contractual coupon rate, including variable-rate features;
- Prepayment and extension features; and
- Terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual per amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on de-recognition is recognized in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On de-recognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

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Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortized cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on de-recognition is also recognized in profit or loss.

(c) De-recognition

Financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Company enters into transactions whereby it transfers assets recognized in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not de-recognized.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

(d) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

(e) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount minus any reduction for impairment.

(f) Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximise the use of relevant observable

inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Company determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

(g) Identification and measurement of impairment
At each reporting date the Company assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s) and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Impairment losses on assets measured at amortised cost are calculated as the difference between the carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate.

Specific provision is made for all known bad debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

j) PROVISIONS
Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made.

k) LEASES
The Company has applied IFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under IAS 17 and IFRIC 4. The details of accounting policies under IAS 17 and IFRIC 4 are disclosed separately.

Policy applicable from 1 January 2019

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company uses the definition of a lease in IFRS 16. This policy is applied to contracts entered into, on or after 1 January 2019.

i. As a lessee
At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to the lease component. The Company recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any

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initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments, including in-substance fixed payments;
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is re-measured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Policy applicable before 1 January 2019

For contracts entered into before 1 January 2019, the Company determined whether the arrangement was or contained a lease based on the assessment of whether:

- Fulfillment of the arrangement was dependent on the use of a specific asset or assets; and
- The arrangement had conveyed a right to use the asset. An arrangement conveyed the right to use the asset if one of the following was met:
  - The purchaser had the ability or right to operate the asset while obtaining or controlling more than

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an insignificant amount of the output;
- The purchaser had the ability or right to control physical access to the asset while obtaining or controlling more than an insignificant amount of the output; or
- Facts and circumstances indicated that it was remote that other parties would take more than an insignificant amount of the output, and the price per unit was neither fixed per unit of output nor equal to the current market price per unit of output.

a) As a lessee

Assets held under leases were classified as operating leases and were not recognized in the Company's statement of financial position. Payments made under operating leases were recognized in profit or loss on a straight-line basis over the term of the lease.

l) RETIREMENT BENEFIT OBLIGATIONS

National Social Security Fund

The company makes contributions to the National Social Security Fund (NSSF), which is a statutory retirement benefit scheme established under the NSSF Act. This is a defined contribution scheme into which the Company contributes 10% of the employees' gross cash emoluments. The Company's contribution is charged to profit or loss as it falls due.

m) CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments and bank overdrafts.

n) TRANSLATION OF FOREIGN CURRENCIES

Assets and liabilities at the end of the reporting period that are expressed in foreign currencies are translated into Uganda Shillings at the rate of exchange ruling at the reporting date. Foreign currency transactions during the year are translated into Uganda Shillings at the rates ruling at the transaction dates. The resulting differences are dealt with in profit or loss in the year in which they arise.

o) TAXATION

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

(i) Current tax

Current tax is the expected tax payable or receivable on the taxable income for the year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

(ii) Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for:
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

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Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity or on different tax entities, but they intend to settle current tax assets and liabilities on a net basis or their tax assets and liabilities will be realized simultaneously.

p) CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(i) Critical judgments in applying accounting policies

Measurement of ECL allowance for trade receivables:

The company uses the provisional matrix to measure the ECL of trade receivables from individual customers. Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off.

Deferred tax:

Management makes assumptions with regards to availability of future taxable profits against which deductible temporary differences and tax losses carried forward can be utilised;

(ii) Key sources of estimation uncertainty

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its tangible and other assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss.

Equipment

Critical estimates are made by the Company in determining depreciation rates and useful lives for equipment at the end of each reporting period.

q) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

r) Share Capital

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

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5. FEES AND COMMISSIONS

	2019 Ushs'000	2018 Ushs'000
Equity listing fees	724,753	951,245
Bonds listing fees	21,053	25,089
Brokerage commission	299,959	106,304
Application and entrance fees	-	4,000
Membership fees	17,500	17,500
Government treasury bonds	590,000	850,000
	1,653,265	**1,954,138**

The entity generates its revenue from six major forms of income as stated above. These are charged according to USE rules, charges and penalties rules 2012.

The company recognises 85% of the revenue (brokerage commission) generated from the use of the Automated Trading System (ATS) as disclosed under Note 13.

6. REVENUE GRANT

	2019 Ushs '000	2018 Ushs '000
Revenue grant	**62,500**	**87,500**

This relates to grant received on an annual basis from Bank of Uganda to assist the company in carrying out its operations. The bank contributed a grant of Ushs 75 million towards the operational expenses for the financial year 2018/19 (Government's financial year).

7. OTHER OPERATING INCOME

	2019 Ushs'000	2018 Ushs'000
(a) Other income		
Securities Central Depository (SCD) income	319,230	182,727
Miscellaneous income	30,309	81,926
University challenge	22,500	20,000
Registry services	61,504	22,334
Data vending services	86,132	-
Penalties	26,000	26,000
	545,675	**332,987**

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For the year ended 31 December 2019

(b) Interest income		
Interest earned on investments	703,988	529,329
Interest earned on bank account	2,541	2,575
	706,529	531,904

8. OPERATING EXPENSES

	2019 Ushs'000	2018 Ushs'000
SCD Operational expenses	3,000	3,000
University challenge	73,802	53,817
Regional meetings and travel	104,131	79,946
Motor vehicle and equipment costs	18,309	7,216
Withholding tax	5,512	1,829
African Securities Exchange Association expenses	5,549	5,456
Hardware maintenance and repairs	8,054	16,927
Software licenses	36,750	60,716
Board meetings and Board of Directors expenses	45,647	20,526
Data centre costs	-	92,004
SCD internet costs	-	21,528
	300,754	**362,965**

9. ADMINISTRATIVE EXPENSES

	2019 Ushs'000	2018 Ushs'000
Rent	-	294,802
Telephone	10,275	10,940
Post	3,446	1,885
Internet - admin costs	49,876	27,925
Medical insurance	35,116	37,674

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Group personal accident	14,609	20,152
Motor vehicle insurance	3,342	2,177
Office equipment and furniture insurance	7,790	8,529
Professional indemnity and fidelity insurance	7,108	7,971
Depreciation	57,825	108,720
Amortisation of intangible assets	81,518	97,615
Advertising and publicity	135,469	197,324
Electricity	29,564	34,927
Fuel and lubricants	21,987	23,531
Auditor's remuneration	25,000	26,189
Internal audit services	30,000	12,500
General office expense	11,582	14,586
Printing and publication	556	6,619
External legal services	11,719	34,182
Stationery and photocopying	5,698	7,020
Corporate social responsibility	-	13,000
Cleaning and fumigation	9,000	9,000
Newspapers and magazines	2,722	1,658
Security	2,903	2,832
Bank charges	8,328	5,312
Membership and subscription	3,059	5,276
Vehicle washing, airtime and parking tickets	-	130
Entertainment/marketing	4,934	1,275
Consultancy fees	91,987	44,438
Data Center Costs	188,060	-
Bad Debts	8,107	-
Depreciation – Right of use	187,295	-
Penalties	-	950
	1,048,875	**1,059,139**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

10. STAFF COSTS

	2019 Ushs'000	2018 Ushs'000
Salaries and wages	882,339	1,085,007
Staff welfare	66,666	61,667
Staff training	18,358	8,493
NSSF contribution	88,143	108,560
	1,055,506	**1,263,727**

The average number of staff during the year was 14 (2018:13).

11. PROFIT BEFORE TAXATION

	2019 Ushs '000	2018 Ushs '000
The profit before taxation is arrived at after charging:		
Auditor's remuneration	25,000	26,189
Staff costs	1,055,506	1,263,727
Depreciation	57,825	108,720
Amortization of intangible assets	81,518	97,615

12. TAXATION

		2019 Ushs '000	2018 Ushs '000
(a)	Taxation charge		
	Current taxation	157,994	78,684
	Deferred tax credit	(8,317)	(12,573)
		149,677	**66,111**

The corporation tax rate is set at 30% of the profits for the year as adjusted for tax purposes in accordance with the Income Tax Act Cap 340. The tax on the company profit for the year differs from the theoretical amount that would arise using the basic tax rate as follows:

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

		Effective Tax rate	2019 Ushs '000	Effective Tax rate	2018 Ushs '000
(b)	**Reconciliation of taxation charge**				
	Accounting profit before taxation		**393,470**		**193,031**
	Tax applicable rate of 30%	30%	118,041	30%	57,909
	Tax effect of non-deductible expenses	3%	12,002	4%	8,202
	Prior year under provision on deferred tax	5%	19,634	-	-
		38%	**149,677**	**34%**	**66,111**

(c) Deferred income tax asset

		2019 Ushs'000	2018 Ushs'000
	The movement in the deferred income tax asset is as follows:		
	1 January	(34,115)	(1,911)
	Tax impact on IFRS 9 transition adjustment	-	(19,631)
	Restated balance as at 1 January	**(34,115)**	**(21,542)**
	Income statement credit	(8,317)	(12,573)
	Balance at 31 December	**(42,432)**	**(34,115)**

Deferred tax assets as at 31 December 2019 and 31 December 2018 are attributable to the movement in temporary differences between calculations of certain items for accounting and for taxation purposes as detailed below:-

31 December 2019

	31-Dec-18 Ushs '000	Movement Ushs '000	31-Dec-19 Ushs '000
Accelerated capital allowances	(37,151)	8,934	(28,217)
Unrealized foreign exchange losses	-	(4,937)	(4,937)
Provisions	(76,565)	(31,722)	(108,287)
Total temporary differences	**(113,716)**	**(27,725)**	**(141,441)**
Deferred tax asset	**(34,115)**	**(8,317)**	**(42,432)**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

31 December 2018

	31-Dec-17 Ushs '000	Movement Ushs '000	31-Dec-18 Ushs '000
Accelerated capital allowances	(6,369)	(41,911)	(48,280)
Provisions	(65,436)	-	(65,436)
Total temporary differences	**(71,805)**	**(41,911)**	**(113,716)**
Deferred tax asset	**(21,542)**	**(12,573)**	**(34,115)**

		2019 Ushs'000	2018 Ushs'000
(d)	**Tax payable/ (recoverable)**		
	1 January	**(16,623)**	**(98,505)**
	Tax charge for the year	157,994	78,684
	Prior year under/ (over) provision for corporation tax	-	2,249
	Tax paid	(27,557)	-
	Penalty tax	-	949
	31 December	**113,814**	**(16,623)**

13. INTANGIBLE ASSETS

	ATS Software Ushs'000	SCD Software Ushs'000	Other Software Ushs'000	Work in progress Ushs '000	Total Ushs'000
COST					
At 1 January 2018	675,111	529,051	116,535	-	1,320,697
Additions	-	-	-	-	-
Reclassification from intangible CWIP	-	-	-	-	-
At 31 December 2018	**675,111**	**529,051**	**116,535**	**-**	**1,320,697**
At 1 January 2019	675,111	529,051	116,535	-	1,320,697
At 31 December 2019	**675,111**	**529,051**	**116,535**	**-**	**1,320,697**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

AMORTISATION					
At 1 January 2018	449,623	519,980	96,334	-	1,065,937
Charge for the year	74,937	4,529	18,149	-	97,615
At 31 December 2018	**524,560**	**524,509**	**114,483**	**-**	**1,163,552**
At 1 January 2019	524,560	524,509	114,483	-	1,163,552
Charge for the year	74,937	4,529	2,052	-	81,518
At 31 December 2019	**599,497**	**529,038**	**116,535**	**-**	**1,245,070**
NET BOOK VALUE					
At 31 December 2019	**75,614**	**13**	**-**	**-**	**75,627**
At 31 December 2018	**150,551**	**4,542**	**2,052**	**-**	**157,145**

JOINT ARRANGEMENT

The Company entered into a joint arrangement with Trading Systems Technology International (a software development company registered in South Africa) for the development of the Automated Trading System (ATS). The ATS was capitalized under Intangible Assets under ATS software in the financial statements in accordance with IAS 38. Under the agreement, the Company is required to pay Trading Systems Technology International (TSTI) 15% of annual fees generated by the Company through the use of ATS as license, support and maintenance fees. This arrangement qualifies as a joint operation under IFRS 11.

The arrangement is governed by a contract between Uganda Securities Exchange Limited and TSTI indicating the annual fees payable to TSTI from the use of the ATS and the agreement specifies the ratios to be used in the arrangement. The corresponding annual license, support and maintenance fees due to TSTI for the year is Ushs 53 million (2018: 19m) as shown below. The revenue sharing was effective on 17 July 2016.

Details	2019 Ushs'000	2018 Ushs'000
Brokerage commission (USE)-See note 5	299,959	106,304
Brokerage commission (TSTI)	52,933	18,759
Total brokerage commission	**352,892**	**125,063**

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14. EQUIPMENT

	Motor Vehicles Ushs'000	Furniture and Fittings Ushs'000	Office Partitions Ushs'000	Computer Equipment Ushs'000	Total Ushs'000
COST					
At 1 January 2018	80,307	331,125	49,462	454,282	915,176
Write-offs	-	-	-		-
Additions	-	1,794	-		1,794
At 31 December 2018	**80,307**	**332,919**	**49,462**	**454,282**	**916,970**
At 1 January 2019	80,307	332,919	49,462	454,282	916,970
Additions	278,936	20,000	-	6,697	305,633
At 31 December 2019	**359,243**	**352,919**	**49,462**	**460,979**	**1,222,603**
DEPRECIATION					
At 1 January 2018	80,307	185,612	44,776	350,382	661,077
Charge for the year	-	32,311	4,016	72,393	108,720
At 31 December 2018	**80,307**	**217,923**	**48,792**	**422,775**	**769,797**
At 1 January 2019	80,307	217,923	48,792	422,775	769,797
Charge for the year	5,811	31,116	670	20,228	57,825
At 31 December 2019	**86,118**	**249,039**	**49,462**	**443,003**	**827,622**
NET BOOK VALUE					
At 31 December 2019	**273,125**	**103,880**	**-**	**17,976**	**394,981**
At 31 December 2018	**-**	**114,996**	**670**	**31,507**	**147,173**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

15. LEASES

Leases (IFRS 16)

The Company leases a building apartment where its offices are located. The lease runs for a period of 5 years, with an option to renew the lease after that date. Lease payments are renegotiated every five years to reflect market rentals.

The building apartment lease was entered into in 2014. Previously, this lease was classified as operating lease under IAS 17.

Information about the lease for which the Company is a lessee is presented below;

a) Right of use asset

	2019 Ushs '000	2018 Ushs '000
Balance at 1 January	1,123,768	-
Depreciation charge for the year	(187,295)	-
Balance as at 31 December	**936,473**	**-**

b) Amounts recognised in profit or loss

	2019 Ushs '000	2018 Ushs '000
2019 – Leases under IFRS 16		-
Interest on lease liabilities	132,707	-
2018 – Operating leases under IAS 17		-
Lease expense	294,802	-

b) Lease Liability

	2019 Ushs '000	2018 Ushs '000
Balance at 1 January	1,110,959	-
Payments made during the year	(265,889)	-
Interest for the year	132,707	-
Balance as at 31 December	**977,777**	**-**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

16. RELATED PARTY BALANCES AND TRANSACTIONS

(a) Related parties include:

Shareholders

- African Alliance Uganda Limited
- Baroda Capital Markets Limited
- Crane Financial Services Limited
- Crested Stocks and Securities Limited
- UAP Financial Services Limited
- Equity Stock Brokers (U) Limited
- Dyer and Blair Uganda Limited

Other related parties

- SBG Securities Limited
- Securities Industry Training Institute

The company is limited by shares. The company has authorised share capital of Ushs 1 billion comprising of 100,000,000 shares of Ushs 10 each. 6 million shares were issued to each of the above share holders implying that 42 million shares were issued out of the 100 million shares. Of the total issued share capital, only 60,000,000 is paid up and the balance is included under note 15 (b) as amounts due from related parties.

The related parties stated above are also brokers through which the public is able to buy shares from the listed entities.

(b) Amounts due from related parties

	2019 Ushs'000	2018 Ushs'000
African Alliance Uganda Limited	880	62,170
Baroda Capital Markets Limited	385	45,369
Dyer and Blair Uganda Limited	602	62,036
Crane Financial Services Limited	(1)	44,999
Equity Stock Brokers (U) Limited	13,731	45,420
Crested Stocks and Securities	16,281	47,130
SBG Securities Limited	260,807	152
UAP Financial Services Limited	1,049	61,029
Expected credit losses (Note 25(a)	(1,604)	(7,134)
	292,130	361,171

Outstanding balances at the year-end are unsecured, interest free and have no fixed repayment date. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 December 2019, the company has not recorded any impairment of receivables relating to amounts owed by related parties (2018: Nil).

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates. The above receivables relate to the unpaid share capital and brokerage fees not settled at year end.

(c)	Amounts due to related parties	2019 Ushs '000	2018 Ushs '000
	Securities Industries Training institute	1,740	1,740
		1,740	**1,740**

(d)	Related party transactions comprise		
	Brokerage commission	352,892	125,063
		352,892	**125,063**

Brokerage commission is paid to Uganda Securities Exchange Limited by brokers. This is computed basing on the total trade considerations for the year.

(e)	Key management compensation	2019 Ushs '000	2018 Ushs '000
	Salaries and benefits	300,000	300,000

(f)	Directors' emoluments		
	Board allowances	27,100	20,526

17. UNQUOTED INVESTMENTS

	2019 Ushs'000	2018 Ushs'000
CDSC Kenya	65,176	65,176
As 31 December	**65,176**	**65,176**

The unquoted investment relates to an equity investment in the CDSC Kenya classified as available for sale. This investment does not have a quoted market price in an active market and therefore its fair value cannot be measured reliably. It is therefore carried at cost less accumulated impairment.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

18. SHARE CAPITAL

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016, demutualization became a regulatory requirement to be fulfilled within 2 years from that date and hence USE was required to comply with the law by 20th May 2018.

In accordance with the above requirement, Uganda Securities Exchange (USE) Limited was incorporated on 18th May 2017 as a public company limited by shares with authorized share capital of Uganda shillings 1 billion (Ugx 1,000,000,000) of 100 million shares of a nominal value of Ugx 10 shillings each.

Issued share capital is Uganda Shillings four hundred twenty million (Ugx 420,000,000) of 42 million shares. Each shareholder has 6,000,000 shares at a nominal value of Ugx 10 shillings each and each shareholder at incorporation currently holds 14.29% of the company. All shared capital is paid up. The initial shareholders are African Alliance Uganda Ltd, Baroda Capital Ltd, Crane Financial Services Ltd, Crested Stocks and Securities, Dyer and Blair Uganda Ltd, Equity Stock Brokers Ltd and UAP Financial Services Ltd. There is no ultimate controlling party. Each trading participant is required to reduce their shareholding to not more than 10% within 3 years of incorporating the demutualized exchange. All trading participants will not hold more than 40% collectively after 3 years from incorporation.

	2019 Ushs'000	2018 Ushs'000
Authorised and not Issued:		
At 01 January		
58,000,000 Ordinary shares of Ushs 10 each	580,000	580,000
At 31 December	**580,000**	**580,000**
Authorised and Issued:		
At 01 January		
42,000,000 Ordinary shares of Ushs 10 each	420,000	420,000
At 31 December	**420,000**	**420,000**
Issued and fully paid		
As at 1 January	60,000	-
Ordinary Share capital paid during the year	360,000	60,000
As at 31 December	**420,000**	**60,000**

The total authorised number of ordinary shares is 42,000,000 with a par value of Ushs 10 per share. Of the total Ushs 420,000,000 share capital, Ushs 60,000,000 was paid up in 2018 and the balance of Ushs 360,000,000 was paid up in 2019 therefore as at 31 December 2019, all share capital was paid up. Each ordinary share is entitled to one vote per share at annual and other general meetings of the company.

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For the year ended 31 December 2019

19. TRADE AND OTHER RECEIVABLES

	2019 Ushs'000	2018 Ushs'000
Trade receivables	197,815	175,178
Staff advances	481	1,200
Other receivables	214,528	198,636
WHT Receivable	245,238	133,006
Expected credit losses (Note 25(a))	(89,140)	(53,220)
Net trade receivables	**568,922**	**454,800**

During the year, the receivables were impaired in accordance to IFRS 9. The carrying amounts of the trade and other receivables approximate their fair value. Refer to Note 3(b) for the disclosure of IFRS 9 transitional adjustment adopted by the entity.

20. FIXED DEPOSITS

	2019 Ushs'000	2018 Ushs'000
Fixed deposits	5,454,568	4,873,394
Expected credit losses	(17,284)	(15,566)
	5,437,284	**4,857,828**

USE has two fixed deposits. One fixed deposit held with Orient Bank and the other fixed deposit held with DFCU Bank Limited at an interest rate of 13% and 15.2% respectively. These deposits mature on 05 April 2020 and 13 December 2020 for Orient and DFCU Bank Limited respectively

Reconciliation of fixed deposits	2019 Ushs'000	2018 Ushs'000
Opening balance as at 1 January	4,857,828	4,693,954
Purchases	5,216,568	4,683,244
Matured fixed deposits	(4,683,244)	(4,479,473)
Interest income for the period	675,290	509,825
Interest income received	(533,324)	(454,079)
Impairment on fixed deposits	(1,718)	(14,874)
Transitional adjustment	-	(692)
WHT on matured fixed deposits	(94,116)	(80,077)
Closing balance as at 31 December	**5,437,284**	**4,857,828**

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For the year ended 31 December 2019

21. TRADE AND OTHER PAYABLES

	2019 Ushs '000	2018 Ushs '000
Trade payables	268,058	88,140
Accrued expenses	72,053	64,900
Other payables	78,857	10,000
Guarantee fund	22	-
WHT payable	8,450	2,938
	427,440	**165,978**

The carrying amounts of the above trade and other payables approximate their fair values.

22. BANK AND CASH BALANCES

	2019 Ushs '000	2018 Ushs '000
Bank balances	80,893	204,075
Decrease/(Increase) in impairment of Bank balances	388	(131)
Transitional adjustment	-	(515)
	81,281	**203,429**

The reconciliation of movements in equity to cash flows arising from financing activities;

Reconciliation of cash flows from financing activities	2019 Ushs'000	2018 Ushs'000
Opening balance as at 01 January	**60,000**	**-**
Shares paid up during the year	360,000	60,000
Shares sold during the year	-	-
Closing balance as at 31 December	**420,000**	**60,000**

23. SUBSIDIARY

USE Limited has a subsidiary Uganda Securities Exchange Nominees Limited with a shareholding of 99%. It is not consolidated in these financial statements, as it is immaterial.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

24. RETAINED EARNINGS

	2019 Ushs '000	2018 Ushs '000
At 1 January	5,709,742	5,628,627
Adjustment on initial application of IFRS 9	-	(45,805)
Restated balance at 1 January 2018	**5,709,742**	**5,582,822**
Total comprehensive income for the year	243,793	126,920
At 31 December	**5,953,535**	**5,709,742**

25. FINANCIAL RISK MANAGEMENT

The company has exposure to the following risks from its use of financial instruments

a) Credit Risk

b) Market Risk

c) Capital management

d) Liquidity Risk

The company's principal business activity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of the securities exchange.

The company is exposed to various risks, including credit risk, market risk, capital management and liquidity risk. The company's board of directors has overall responsibility for the establishment and oversight of the company's risk management framework. The company's risk management policies are established to identify and analyse the risks faced by the company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the company's activities.
Financial risk management (Continued)

The company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The company's risk management strategy is based on a clear understanding of the various risks, disciplined risks assessment and measurement procedures and continuous monitoring. The policies and procedures established for this purpose are continuously benchmarked with the financial services industry best practices. The management is responsible for the assessment, management and mitigation of risk in the company.

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NOTES TO THE FINANCIAL STATEMENTS

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(a) Credit risk

Credit risk is the risk of financial loss to the Company if a counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company extension of credit to its customers. For risk management reporting purposes, the Company considers all elements of credit risk exposure such as individual obligator default risk, nature of customer and sector risk. The financial management objectives and policies are as outlined below:

The Company's credit risk is primarily attributable to trade and other receivables, estimated by the Company's management based on prior experience, existing financial and economic factors faced by the debtor and the exit options available.

The credit risk on liquid funds and fixed deposits with financial institutions is also low, because the institutions are banks with high credit ratings.

The carrying amount of financial assets represents the maximum credit exposure.

Impairment losses on financial assets recognised in profit or loss were as follows:

	2019 Ushs'000	2018 Ushs'000
Impairment		
Impairment loss on trade receivables	35,920	11,240
Impairment loss on due from related parties	(5,530)	(933)
Impairment loss on fixed deposits	1,718	692
Impairment loss on bank balance	(388)	131
	31,720	**11,130**

Trade receivables
The Company's exposure to credit risk is influenced mainly by the characteristics of each customer.

The risk management committee has established a credit policy under which each new customer is analysed individually for credit worthiness before the company's standard payment and delivery terms and conditions are offered.

The Company limits its exposure to credit risk from trade receivables by establishing a maximum payment period of one and three months for individual and corporate customers respectively. More than 85% of the company's customers have been transacting with the entity for over four years, and none of these customers' balances have been written off or are credit-impaired at the reporting date.

The Company does not require collateral in respect of trade and other receivables. The entity does not have trade receivable for which no loss allowance is recognised because of collateral.

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For the year ended 31 December 2019

At 31 December 2019, the exposure to credit risk for trade receivables was as follows:

	2019 Ushs'000	2018 Ushs'000
Impairment		
Trade and other receivables	658,062	508,020
Expected credit losses	(89,140)	(53,220)
	568,922	**454,800**

At 31 December 2019, the exposure to credit risk for due from related parties was as follows:

	2019 Ushs'000	2018 Ushs'000
Impairment		
Due from related parties	293,734	368,305
Expected credit losses	(1,604)	(7,134)
	292,130	**361,171**

An analysis of the credit quality of trade receivables and due from related parties that were neither past due nor impaired and the ageing of trade receivables that were past due and impaired as at 31 December 2019 is as follows:

As at 31 December 2019	Not credit impaired Ushs'000	Credit Impaired Ushs'000	Total Ushs'000
Trade receivables	56,496	141,319	197,815
Other receivables	199,493	15,035	214,528
Due from related parties	292,588	1,146	293,734
Total	**548,577**	**157,500**	**706,077**

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An analysis of the credit quality of trade receivables and due from related parties that were neither past due nor impaired and the ageing of trade receivables that were past due and impaired as at 31 December 2018 is as follows:

As at 31 December 2018	Not credit impaired Ushs'000	Credit Impaired Ushs'000	Total Ushs'000
Trade receivables	6,753	176,831	183,584
Other receivables	190,230	8,406	198,636
Due from related parties	359,999	8,306	368,305
Total	**556,982**	**193,543**	**750,525**

Expected credit loss assessment for individual customers as at 31 December 2019

The Company uses a provisional allowance matrix to measure the ECLs of trade receivables from individual customers, which comprise a very large number of small balances.

Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off.

The following table provides information about the exposure to credit risk and ECLs for trade receivables from individual customers and due from related parties.

As at 31 December 2019	Weighted Average loss rates	Gross carrying amount	Loss allowance	Credit impaired
Receivables	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**
Financial assets				
1-31 days past due	18%	34,837	6,158	No
32-62 days past due	49%	66,001	32,179	No
63- 92 days past due	82%	25,721	21,008	No
93- 123 days	100%	30	30	No
More than 123 days	100%	29,765	29,765	No
		156,354	**89,140**	

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For the year ended 31 December 2019

As at 31 December 2019	Weighted Average loss rates	Gross carrying amount	Loss allowance	Credit impaired
Due from related parties	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**
Financial assets				
1-31 days past due	18%	2,179	385	No
32-62 days past due	49%	(4,459)	(2,174)	No
63- 92 days past due	82%	180	147	No
93- 123 days	100%	(30)	(30)	No
More than 123 days	100%	3,276	3,276	No
		1,146	**1,604**	

The loss rates are based on actual credit loss experience over the past three years.

As at 31 December 2018	Weighted Average loss rates	Gross carrying amount	Loss allowance	Credit impaired
Receivables	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**
Financial assets				
1-31 days past due	9%	114,002	9,702	No
32-62 days past due	24%	10,407	2,466	No
63- 92 days past due	59%	23,156	13,654	No
93- 123 days	100%	8,900	8,900	No
More than 123 days	100%	20,366	20,365	No
		176,831	**55,087**	

Uganda Securities Exchange

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

As at 31 December 2018	Weighted Average loss rates	Gross carrying amount	Loss allowance	Credit impaired
Due from related parties	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**
Financial assets				
1-31 days past due	9%	1,478	126	No
32-62 days past due	24%	2,211	524	No
63- 92 days past due	59%	-	-	No
93- 123 days	100%	150	150	No
More than 123 days	100%	4,467	4,467	No
		8,306	**5,267**	

Movements in the allowance for impairment in respect of trade receivables and due from related parties

The movements in the allowance for impairment in respect of trade receivables and due from related parties during the year was as follows:

	2019	2018
	Ushs'000	**Ushs'000**
Balance at 1 January under IFRS 9	**60,354**	**50,047**
Loss allowance for receivables	35,920	9,373
Loss allowance for due from related parties	(5,530)	934
Balance at 31 December	**90,744**	**60,354**

The following significant changes in the gross carrying amounts of trade receivables contributed to the changes in the impairment loss allowance during 2019.

The increase in credit-impaired balances is mainly due to Uchumi, which has failed to pay the equity listing fees since 2017, which resulted in impairment allowances in 2019 of Ushs 8 million.

Cash and cash equivalents

The Company held cash and cash equivalents of Ushs 80,893 thousand at 31 December 2019 (2018: Ushs 204,075 thousand). The cash and cash equivalents are held with the bank (Citibank), which is rated AA- to AA+, based on [Rating Agency Y] ratings.

Impairment on cash and cash equivalents has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

The amount of impairment allowance as at 31 December 2019 is Ushs (387,527) (2018: Ushs 130,715)

b) Market risk

Market risk is the risk that changes in market prices, such as interest rate and foreign exchange rates will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within the acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The interest rate risk exposure arises mainly from interest rate movements on the company's investments in cash and fixed deposits. However, this exposure is not deemed significant as the interest rates are fixed and the deposits mature in 12 months.

The table below summarizes the exposure to interest rate risk. Included in the table are the Company's assets and liabilities at carrying amounts, categorized by the earlier of contractual dates and the maturity dates. All balances are in Ushs.

31 Dec 2019	Matured	< 3 months	3 to 12 months	>1 year	Non-interest bearing	Total
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
Assets						
Trade receivables & Prepayments	-	-	-	-	568,922	568,922
Fixed deposits investments	-	-	5,437,284	-	-	5,437,284
Amount due from related parties	-	-	-	-	292,130	292,130
Bank and cash balances	-	-	-	-	81,281	81,281
Total assets	**-**	**-**	**5,437,284**	**-**	**942,333**	**6,379,617**
Liabilities						
Trade and other payables	-	-	-	-	427,440	427,440
Lease liability	-	-	-	977,777	-	977,777
Amount due to related parties	-	-	-	-	1,740	1,740
Total liabilities	**-**	**-**	**-**	**977,777**	**429,180**	**1,406,957**
Gap:						
As at 31 December 2019	**-**	**-**	**5,437,284**	**(977,777)**	**513,153**	**4,972,660**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

31 Dec 2018	Matured	< 3 months	3 to 12 months	>1year	Non-interest bearing	Total
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
Assets						
Trade receivables and Prepayments	-	-	-	-	314,660	314,660
Fixed deposits investments	-	-	4,857,828	-	-	4,857,828
Amount due from related parties	-	-	-	-	368,305	368,305
Bank and cash balances	-	-	-	-	203,429	203,429
Total assets	**-**	**-**	**4,857,828**	**-**	**886,394**	**5,744,222**
Liabilities						
Trade and other payables	**-**	**-**	**-**	**-**	165,978	165,978
Amount due to related parties	**-**	**-**	**-**	**-**	1,740	1,740
Total liabilities	**-**	**-**	**-**	**-**	**167,718**	**167,718**
Gap:						
As at 31 December 2018	**-**	**-**	**4,857,828**	**-**	**718,676**	**5,576,504**

(ii) Foreign exchange risk

The company's operations are predominantly in Uganda where the currency has not been relatively stable against the major convertible currencies. Some of the expenses and income are denominated in foreign currency and therefore an exposure exists but not considered material.

Key currency exposures

31-Dec-19	US dollar	TOTAL
	Ushs '000	Ushs '000
Assets		
Trade receivables and prepayments	164,165	164,165
Bank and cash balances	10,846	10,846
Total assets	**175,011**	**175,011**
Liabilities		
Trade and other payables	184,175	184,175
Total liabilities	**184,175**	**184,175**
Net exposure:		
As at 31 December 2019	**(9,164)**	**(9,164)**

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

31-Dec-18	US dollar Ushs '000	TOTAL Ushs '000
Assets		
Trade receivables and prepayments	96,603	96,603
Bank and cash balances	19,929	19,929
Total assets	**116,532**	**116,532**
Liabilities		
Trade and other payables	4,457	4,457
Total liabilities	**4,457**	**4,457**
Net exposure:		
As at 31 December 2018	**112,075**	**112,075**

Foreign currency risk sensitivity analysis

Foreign exchange risk – appreciation/depreciation of Ushs against other currencies by 5%. The following sensitivity analysis shows how surplus/ (deficit) would be affected if the market risk variables had been different at reporting date with all other variables held constant.

31-Dec-19	US dollar Ushs '000	Total Ushs '000
-5% Ushs Movement	(542)	**(542)**
+5% Ushs Movement	(542)	**(542)**
31-Dec-18		
-5% Ushs Movement	(996)	**(996)**
+5% Ushs Movement	996	**996**

(c) Capital Management

The Company is limited by shares and has a share capital of Ushs 420,000,000 of which Ushs 60,000,000 is paid up share capital.

The Company manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains at maximising stakeholders' value.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

The company's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The company is not subject to any externally imposed capital requirements.

Capital risk management table

The company's net debt to equity ratio as at 31 December 2019 was as follows:

Details	2019 Ushs '000	2018 Ushs '000
Total liabilities	1,293,848	165,978
Less; Cash and cash equivalents	(81,281)	(203,429)
Net debt	**1,212,567**	-
Equity	6,485,922	6,129,862
Net debt to equity ratio	**0.20**	**-**

(d) Liquidity risk management

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations on its financial liabilities.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has built an appropriate liquidity risk management framework for the management of the Company's short, medium and long-term funding and liquidity management requirements. The Company manages liquidity risk through continuous monitoring of forecast and actual cash flows.

The Company aims to maintain the level of its cash and cash equivalents at an amount in excess of expected cash outflows on financial liabilities (other than trade payables) over the next 12 months.

The table below analyses financial assets and liabilities all of which mature within the next 12 months:

31 December 2019	3 to 12 Months Ushs'000	>1 year Ushs'000	Total Ushs'000
Assets			
Trade and other receivables	364,163	-	364,163
Amounts due from related parties	297,396	-	297,396
Fixed deposits	5,437,284	-	5,437,284
Bank and cash balances	81,281	-	81,281
Total assets	**6,180,124**	**-**	**6,174,858**
Liabilities			
Trade and other payables	427,440	-	427,440

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

Lease liability		977,777	977,777
Amount due to related parties	-	1,740	1,740
Total liabilities	**427,440**	**979,517**	**1,406,957**
Liquidity gap:			
As at 31 December 2019	**5,752,684**	**(979,517)**	**4,767,901**

Liquidity risk management (Continued)

31 December 2018	**3 to 12 Months**	**>1year**	**Total**
	Ushs'000	**Ushs'000**	**Ushs'000**
Assets			
Trade receivables and other receivables	314,660	-	314,660
Amounts due from related parties	368,305	-	368,305
Fixed deposits	4,857,828	-	4,857,828
Bank and cash balances	203,429	-	203, 429
Total assets	**5,744,222**	**-**	**5,744,222**
Liabilities			
Trade and other payables	165,978	-	165,978
Amount due to related parties	-	1,740	1,740
Total liabilities	**165,978**	**1,740**	**167,718**
Liquidity gap:			
As at 31 December 2018	**5,578,244**	**(1,740)**	**5,576,504**

26 FAIR VALUE MEASUREMENT

The fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments, the Company determines fair values using other valuation techniques.

(a) Valuation models

The company measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

Level 1: inputs that are quoted market prices (unadjusted) in active markets for identical instruments e.g. quoted equity securities. These items are exchange traded positions.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

Level 2: inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using; quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premia used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations. The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date. As at 31 December 2019 and 31 December 2018 the Company did not have financial instruments measured at fair value.

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

31 December 2019

	Level 1	Level 2	Level 3	Total Fair Value	Carrying amount
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
Assets					
Trade and other receivables	-	-	364,163	364,163	364,163
Amounts due from related parties	-	-	292,130	292,130	292,130
Fixed deposits	-	5,437,284	-	5,437,284	5,437,284
Cash and cash equivalents	-	-	81,281	81,281	81,281
Total	**-**	**5,437,284**	**737,574**	**6,174,858**	**6,174,858**
Liabilities					
Trade and other payables	-	-	427,440	427,440	427,440
Lease liability	977,777	-	-	977,777	977,777
Amounts due to related parties	-	-	1,740	1,740	1,740
Total	**977,777**	**-**	**429,180**	**1,406,957**	**1,406,957**

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For the year ended 31 December 2019

31 December 2018

	Level 1 Ushs '000	Level 2 Ushs '000	Level 3 Ushs '000	Total Fair Value Ushs '000	Carrying amount Ushs '000
Assets					
Trade and other receivables	-	-	314,660	314,660	314,660
Amounts due from related parties	-	-	368,305	368,305	368,305
Fixed deposits	-	4,857,828	-	4,857,828	4,857,828
Cash and cash equivalents	-	-	203,429	203,429	203,429
Total	**-**	**4,857,828**	**886,394**	**5,744,222**	**5,744,222**
Liabilities					
Trade and other payables	-	-	165,978	165,978	165,978
Amounts due to related parties	-	-	1,740	1,740	1,740
Total	**-**	**-**	**167,718**	**167,718**	**167,718**

27. COMMITMENTS

The company had no commitments in 2019 (2018: Nil).

28. ULTIMATE CONTROLLING PARTY

The company is limited by shares and does not have any immediate or ultimate controlling party.

29. CONTINGENT LIABILITIES

The company had no contingent liabilities in 2019 (2018: Nil).

30. COUNTRY OF INCORPORATION

Uganda Securities Exchange Limited is incorporated in Uganda under the Companies Act 2012 as a company limited by shares and domiciled in Uganda.

31. EVENTS AFTER THE REPORTING PERIOD

On 11 March 2020, the World Health Organisation declared the Coronavirus COVID-19 outbreak to be a pandemic in recognition of its rapid spread across the globe including Uganda. The Ugandan government has since taken stringent measures to help contain the spread of the virus. These measures include:

- Banning all out bound movements for Ugandans going to countries that have been hit
- Factories, hotels, markets and Taxis to continue functioning but with standard procedures set out by the Ministry of Health
- Suspension of monthly markets for 32 days
- Prohibition of Disco places and Bars
- Prohibition of public gatherings or gathering of any political, cultural form to less than 10 people among others and more stringent measures anticipated as positive cases continue to surge.

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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 December 2019

The economic impacts of these measures include but are not limited to:

- Disruption to business operations, in particular, in 'significantly impacted countries' that have high and/or rapidly increasing infection rates;
- Significant disruption to businesses in 'highly exposed sectors' globally, in particular, trade and transportation, travel and tourism, hospitality/entertainment/sport, manufacturing, construction and retail;
- A significant increase in economic uncertainty, evidenced by more volatile asset prices and currency exchange rates and a significant decline in long-term interest rates in developed economies.
- Rapid growth in domestic items' prices due to uncertainties in supply and demand.
- Significant business interruption arising from supply chain disruption, closure of manufacturing or commercial facilities, travel restrictions and logistics disruption, unavailability of personnel etc.;
- The uncertainties in the economy are likely to significantly affect the Company's projected asset growth and quality hence adverse effects on the revenues. This is because Uganda as a country Business sector largely depends on importation from the heavily infested countries say China and the Banks' customers are not operating in isolation. On a similar note, due to anxiety amongst the clientele, there is a likelihood of high deposit demand hence high levels of liquidity outflows.
- High operating costs in implementing safety measures for the workforce and clientele as well as investment in infrastructure to facilitate offsite operations for key personnel to strengthen Business Continuity in the event of total lockdown, and general negative impact on staff productivity due to emotional anguish from the deadly virus.
- Abnormally large changes in, foreign exchange rates or interest rates after the reporting date that will significantly impact the measurement of assets and liabilities in future periods.

The potential impact of this cannot be reliably estimated and as such financial statements are not adjusted to reflect this impact.



Aerobics Session before the Games Begin



Trophies for the Winners



USE University Challenge 3rd Runner Up



Bulls Volleyball Team Lifting their Trophy



Bulls Vs Bears Football LineUp



USE University Challenge Overall Winner



Bulls Vs Bears Volleyball



Inspiring Growth

Notice of
ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 3rd Annual General Meeting ("AGM") of UGANDA SECURITIES EXCHANGE LIMITED ("the Company") for the year ended December 2019 will be by electronic means on Friday 2nd October 2020 at 2:30pm to conduct the following business:

PRELIMINARIES

1. To table the proxies and to note the presence of quorum.
2. To read the notice convening the meeting and confirm Any other Business for which notice has been received by the Secretary at least 48 hours before the meeting.
3. To receive communication from the Chairman.
4. To confirm the minutes of the 2nd Annual General Meeting for the year ended 2018.

ORDINARY RESOLUTIONS

5. To consider and if deemed fit, approve the audited financial statements for the year ended 31st December 2019 together with the reports of the Chairman, the Directors and the external auditors.
6. Appointment and Re-election of New Directors
   To consider and if deemed fit confirm the appointment and re-election of Directors in accordance with the provisions of the Company's Articles of Association as follows:
   (i) To approve the appointment of a new Director (trading participant representative) to fill the casual vacancies created by the expiry of the term of the first Directors of the Company appointed under the Article 108 of the Articles of Association of the Company.
   (ii) To approve the appointment of a new Director (trading participant representative) to fill the casual vacancy created by the resignation of a Director during the current year 2020 Rotation of Directors under Articles 110 & 111
   (iii) Mr. Charles Mbire who was appointed to the Board in May 2017 retires by rotation and being eligible offers himself for re-election
   (iv) Mr. Richard Byarugaba who was appointed to the Board in May 2017 retires by rotation and being eligible offers himself for re-election'
   (v) Mr, Simon Mwebaze who was appointed to the Board in May 2017 retires by rotation and being eligible offers himself for reelection
7. To receive and approve the remuneration for Non-Executive Directors as provided for in the financial statements.
8. To consider and if deemed fit, approve the re-appointment of External Auditors KPMG for the year ending 31st December 2020 and authorise the Directors to fix their remuneration.

Dated 10th September 2020

BY ORDER OF THE BOARD



Alison Kwikiriza- Serucaca
Company Secretary

Shareholders are urged to note the following information:

(1) Audited financial statements: The audited financial statements, annual report and minutes of the previous meeting will be circulated to shareholders via e-mail ahead of the meeting.
(2) Proxies: A shareholder who is unable to attend the AGM may appoint a proxy to attend the meeting on his or her behalf.
a. A copy of the proxy form accompanies this notice
b. Duly completed proxy forms must be emailed to the company secretary at address akwikiriza@use.or.ug to be received at least 48 hours before the meeting.
(3) Scheduling of the AGM: Article 95 of the Articles of Association of the company, an annual general meeting may be held by audit or audio-visual means. The Board in a meeting held on 4th September 2020 approved convening and conduct of the AGM for the year ended 2019 electronically

Inorder to access the meeting, shareholders or their proxies should login through the Zoom meeting platform via the link and/ or the login details below:
https://us02web.zoom.us/j/88533525663?pwd=bVFSRkczRFBQenZ6WGlBaURQQmhWQT09Meeting ID: 885 3352 5663 Passcode: 738256

Proxy Form

For the Attention of:
The Company Secretary
Uganda Securities Exchange Limited
4th Floor Block A Nakawa Business Park
P. O Box 23552 Kampala
Email: akwikiriza@use.or.ug

I/We the under signed, being a shareholder the above company hereby appoint

_____ of

address_____ as my/our proxy to

attend and vote on my behalf at the 3rd Annual General meeting of the Company to be held at electronically on **Friday 2nd October 2020 ,at 2:30 p.m** or to any adjournments thereof.

Signed: _____

Name: _____

Date: _____

Notes:

1. This proxy should be delivered to the Company Secretary on email stated herein not later than 48 hours before the time appointed for the meeting, and in default, the instrument of proxy shall be treated as invalid. Please note that delivery by electronic mail copy will be deemed delivery of the Proxy Form. The original hard copy shall however be required to be submitted by the appointed proxy.
2. In case of a corporation, the proxy must be signed by an authorized official of the shareholder company.
3. The completion and lodging of this form does not preclude the ordinary representative of the shareholder from attending the AGM instead of the proxy.

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